Sandals Royal Bahamian Resort

Daria Babazadeh
Kimecha Leonard Bailey
Leyanes Tamayo
Salem Alhabshi
Yasmin Bryan

Strategic Management Plan

HMG 6296 Strategic Management in Hospitality and Tourism Industry

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Executive Summary

Sandals Resorts International (SRI) was founded by visionary entrepreneur Gordon “Butch” Stewart in Jamaica and is now led by his son, Adam Stewart, an alumnus of Florida International University (FIU). It is recognized as the Caribbean’s leading luxury all-inclusive resort company. As a privately owned business, SRI's operations are vulnerable to the region’s economic and ecological risks. However, its strategic location also allows it to take advantage of emerging social, cultural, and technological trends in the hospitality industry, making it a strong competitor with significant growth potential and resilience.

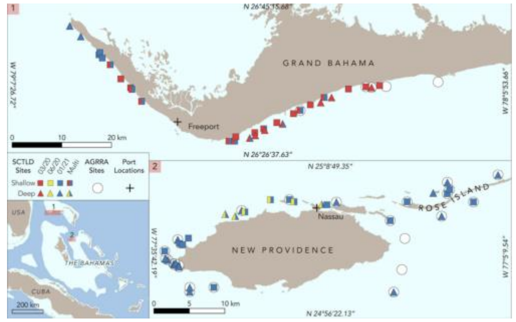
- Ecological - Preserving coral reefs to attract tourists.
- Economic - The Bahamas' hospitality sector is influenced by tourism demand and economic factors, with projected GDP growth of 1.8% in 2025, while facing challenges such as rising costs, competition, and external risks, necessitating effective management of pricing and capital expenditures.
- Political - The Bahamian government's support for resort development through incentives and partnerships, along with stable political conditions, makes it an attractive destination for Sandals to invest and expand.
- Socio-Cultural - Adopt and incorporate more sustainability and wellness into operations and guest offerings.
- Technological - Increased use of technology to improve guest services, streamline operations, boost revenue, and reduce labor.

This scanning of the remote environment highlights that Sandals Resorts International will face meaningful challenges in the coming years but also significant opportunities for innovation and growth. Each environmental force will generate emerging trends that reshape the competitive landscape for luxury all-inclusive resorts. The financial implications of these shifts, ranging from infrastructure investments to technology adoption and sustainability initiatives, will be substantial but necessary for maintaining the company’s leadership in the Caribbean hospitality sector.

By anticipating and responding to these changes, Sandals Resorts International can strengthen its competitive advantage, protect its unique value proposition, and position itself for continued success and expansion across the region in the next five years and beyond.

Ecological - Salem

Sub-categories	Sources	Value Drivers	Forces Driving Change
Natural Resources	- Bahamas National Trust. (2021). *Impact report*. Bahamas National Trust. - ChatGPT - Dahlgren, C., et al. (2021). Spatial and temporal patterns of Stony Coral Tissue Loss Disease in The Bahamas. *Frontiers in Marine Science, 8,* 682114. - Gerhardt, C. (2023, May 22). Why rising sea levels pose existential threat to the Bahamas [Extract]. *The Guardian*.	**Coral Reefs & Reef-Based Activities** Coral reefs are the cornerstone of the Bahamian tourism product and a direct driver of Sandals Royal Bahamian's revenues. Globally, reef-related tourism generates an estimated **US$36 billion annually**, with the Caribbean contributing roughly **US$8 billion** (Spalding et al., 2017). In the Bahamas, reef-based activities (diving, snorkeling, and marine excursions) account for approximately **25–30% of stopover visitor spending** (Bahamas National Trust, 2021). At Sandals Royal Bahamian, snorkeling and diving are bundled into luxury all-inclusive packages, making reef health critical to guest satisfaction and pricing power.	**- Stony Coral Tissue Loss Disease (SCTLD):** Expected to reduce coral cover by up to 40% within 5 years, directly threatening reef-based tourism value (Dahlgren et al., 2021). A significant decline in reef health could reduce demand for these activities, leading to a projected 10–15% revenue loss for the resort. Conversely, initiatives such as Sandals' coral gardening program, which allows guests to participate in reef restoration, create meaningful experiences that strengthen loyalty and repeat bookings, potentially boosting revenues by 5% annually (Sandals Resorts, n.d.). - **Increased Hurricane Activity:** NOAA (2025) projects **13–19 named storms, 6–10 hurricanes, and 3–5 major hurricanes**, intensifying risks of reef destruction, beach erosion, and loss of marine biodiversity (NOAA, 2025). Historical evidence from the Caribbean shows that years of **high hurricane activity** severely damage coral reefs through wave destruction, coral breakage,

	- Heron, S., Morgan, J., Eakin, M. A. R. K., & Skirving, W. (2005). Hurricanes and their effects on coral reefs. *Status of Caribbean coral reefs after bleaching and hurricanes in*, 31-36. - National Oceanic and Atmospheric Administration. (2025, May 22). *NOAA predicts above-normal 2025 Atlantic hurricane season*. U.S. Department of Commerce. - Perry Institute for Marine Science. (2021). *Success story: Reef Rescue Network in The Bahamas*. Reef Rescue Network. https://www.reefresc		and post-bleaching mortality. For example, during the record **2005** hurricane season, bleaching affected up to **95% of corals**, with mortality rates between **17–30%** in several islands and over **50%** in others (Wilkinson & Souter, 2008). As climate change increases the frequency of Category 4–5 hurricanes, the Bahamas is expected to face similar reef losses. For Sandals Royal Bahamian, this represents a direct financial risk. Reef-based activities (diving, snorkeling, and marine excursions) account for approximately **25–30% of stopover visitor spending** in the Bahamas (Bahamas National Trust, 2021). A hurricane-driven coral cover decline of **20–30%**, as observed in 2005, could result in an estimated **7–10% decrease in resort revenues** within the next 3–5 years, due to reduced guest demand for reef-based activities and declining willingness to pay premium package prices. - **Sea-Level Rise:** Sea levels in the Bahamas are projected to rise by **32 cm (12.6 inches) by 2050** and **82 cm (32.3 inches) by 2100**, which translates to an average annual rise of about **0.8 cm (0.3 inches)**. Over the next five years alone, this would mean an increase of roughly **4 cm (1.6 inches)**. When combined with the islands' porous limestone geology, even such incremental rises accelerate saltwater intrusion into freshwater systems

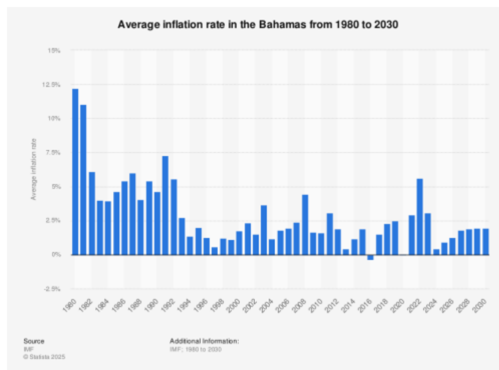
	uenetwork.org/success-story - Sandals Resorts. (n.d.). *Discover and join Sandals' coral gardening efforts*. Sandals Resorts. - Spalding, M., Burke, L., Wood, S. A., Ashpole, J., Hutchison, J., & zu Ermgassen, P. (2017). Mapping the global value and distribution of coral reef tourism. *Marine Policy, 82,* 104–113. - United Nations. (2015). *Transforming our world: The 2030 Agenda for Sustainable Development*. United Nations. https://sdgs.un.org/goals/goal14		and place additional stress on coral reef ecosystems (Gerhardt, 2023). Rising sea levels therefore, represent a significant ecological force that threatens the long-term sustainability of reefs in the Bahamas. Scientific research shows that coral reefs can only keep pace with sea-level rise rates of **3–9 mm per year**, and faster rises risk "drowning" reefs by reducing the sunlight available for zooxanthellae photosynthesis, which is essential for coral growth (Woodroffe & Webster, 2014). As water depth increases, reef productivity declines, weakening ecosystem resilience and limiting the natural coastal protection that reefs provide. For Sandals Royal Bahamian, these ecological shifts have **direct financial implications**. Reef-based activities such as snorkeling and diving contribute approximately **25–30% of stopover visitor spending** in the Bahamas (Bahamas National Trust, 2021). A projected **20–30% decline in coral cover** due to sea-level rise could lower demand for these activities, resulting in an estimated **7–10% revenue loss over the next decade**. In addition, declining reef health risks undermining the resort's premium brand image, particularly among eco-conscious travelers who increasingly prioritize sustainability in their vacation choices (UNWTO, 2022).

	- UNWTO. (2022). *Tourism in the 2030 Agenda: Key sustainable tourism trends*.		- **Global Environmental Awareness:** Tourists increasingly demand eco-certified, sustainable experiences; failing to emphasize reef protection could shift eco-conscious travelers toward competing destinations (UNWTO, 2022). **Risk of Revenue Loss:** If Sandals Royal Bahamian fails to align with **SDG 14 – Life Below Water**, it risks losing eco-conscious travelers who now make up a growing segment of the global market. Studies show that more than **50% of international travelers prefer eco-certified destinations** (UNWTO, 2022). For Sandals, neglecting visible sustainability practices could reduce bookings from this segment, resulting in a potential **5–8% decline in annual revenues** over the next decade due to brand erosion and reduced guest satisfaction. **Opportunity for Revenue Growth:** Conversely, adopting and promoting visible marine conservation initiatives (e.g., coral gardening, reef protection, sustainable water use) can position the resort as a **leader in eco-luxury tourism**. These initiatives enhance the guest experience and loyalty, encouraging repeat bookings. Evidence from experiential tourism suggests this could increase revenues by **5–10% annually**, as satisfied guests are

			willing to pay a premium for eco-friendly packages and are more likely to recommend the resort to others (Sandals Resorts, n.d.; Bahamas National Trust, 2021). **As a result to this force:** Sandals has already taken visible steps to align with these sustainability expectations through the expansion of its coral restoration programs in The Bahamas. In partnership with the **Perry Institute for Marine Science**, the resort launched the **Reef Rescue Diver Specialty Course** in Nassau and has contributed to the out-planting of more than **37,000 coral fragments** across the region. While Sandals has not disclosed specific financial allocations for individual resorts, the *"Success Story of the Reef Rescue Network in The Bahamas"* notes that the network's operational costs are approximately **US$325,000 annually**, supported by the Perry Institute with tiered partner contributions ranging from **US$850 for CORE Partners** to **US$500 for other tiers**. Although Sandals' exact share is not specified, its participation in this framework demonstrates a tangible commitment to marine conservation, strengthening its credibility among eco-conscious travelers and supporting the resort's potential for revenue growth in the eco-luxury segment.

Economic - Kimecha

Sub-Categories	Sources	Value drivers	Forces Driving Change
Economic cycles (tourism demand, GDP, Capital markets & FDI (capacity & competition)	1. Bahamas Ministry of Tourism; CHTA Outlook , Central Bankof the Bahamas, Bahamas Press Room, CHTA INDUSTRY REPORT 2. Central Bank stats; Embassy/BIA investment guidance 3. US Department of State 2023 US Department of State Report 2024,	**Visitor arrivals** High international visitor arrivals and the travel and tourism sector's contribution to GDP are key indicators of market demand. Rising tourist numbers increase occupancy rates, direct spending on accommodations, dining, and experiences, and stimulate ancillary services, including transportation and retail. As the sector grows, it also signals broader economic stability, supporting investments in infrastructure and high-end hospitality. **GDP impact on Industry** U.S. GDP & household income path; airline capacity/airfare to NAS; cruise vs. stopover share mix; seasonal shoulder-period weakness; import-price pass-through via USD peg.	**Rising Tourist Count** Countries with tourism contributing significantly to GDP provide a favorable environment for resort development, indicating both consumer demand and government support for the industry, which can accelerate revenue growth and enhance return on investment. Record 11.22M visitors in 2024; Caribbean growth expected in 2025. If arrivals grow ~3–4% YoY and Sandals maintains share, room revenue should grow similarly; ADR may outpace volumes by ~1–2 pp (premium positioning). This can be seen happening between now and 2027. Occupancy and ADR variability; need for tighter yield management; heavier focus on high-income U.S. segments; protect RevPAR via premium mix and length-of-stay offers (2025–2027). **Forces Driving Change** Impacts driving change include a potential 2–3% market-share headwind as rooms come online, the need for loyalty/direct-channel capture, experience differentiation, selective partnerships, and a cadence of capital expenditures to maintain positioning.

	4. Bahamas Ministry of Tourism; CHTA Outlook, Central Bank Bahamas, Bahamas Press Room, CHTA INDUSTRY REPORT	FDI pipeline timing; cost of capital (interest-rate path); construction cost inflation; permitting/approvals; competitive entry of new luxury keys concentrated in Nassau/Paradise Island. Payback period & hurdle rate for the approximate value of the 2022 renovation at US$55M; ADR resistance risk; weather resilience of assets; dependence on high-income U.S. demand to sustain the premium suite mix.  Base-case GDP with an approximate value of 1.8% (2025), airline pricing, timing of capacity additions, and energy/utility price trajectory all affect operating costs.	Impacts driving change: supports ADR premium and guest satisfaction; expands suite penetration to lift margins; guides timing/scope of next refresh to stay ahead of new entrants. Impacts driving change: dynamic pricing and shoulder-season promotions, targeted U.S. demand stimulation, energy-efficiency capital expenditures to offset cost inflation, and product refreshes to preserve pricing power. 

Political (Daria)

Sub-Categories	Sources	Value Drivers	Forces Driving Change
Government	1. https://www.travelmarketreport.com/canada/destinations/articles/record-smashed-the-bahamas-welcomed-11-22-million-visitors-in-2024 2. http://laws.bahamas.gov.bs/cms/images/LEGISLATION/PRINCIPAL/1954/1954-0030/1954-0030_1.pdf 3. https://www.state.gov/reports/2023-investment-climate-statements/the-bahamas 4. https://www.travelpulse.com/news/hotels-and-resorts/sandals-royal-bahamians-	**Hotels Encouragement Act: Tourism Incentives and Tax Policies** The Hotels Encouragement Act: "An Act to encourage the construction of hotels in The Bahamas by providing for the refund of customs duties and emergency taxes and certain other concessions, and for the exemption of such hotels from certain taxation, and to relieve existing hotels from certain taxation." The Hotels Encouragement Act is a value driver because it directly lowers development and operating costs for hotel companies, while also boosting demand through government-led tourism incentives. One of the most significant political value drivers for Sandals	Hotels Encouragement Act What the law gives you Customs duty relief: For new hotels, the Minister can exempt all customs duties on "materials necessary for the construction, equipping, furnishing and completing" the hotel. Construction machinery and plants may also be imported duty-free, provided they are re-exported after use. Property tax holidays & caps: - Years 1-10 after opening: 0 real property tax. - Years 11-20: property tax is capped at $20 per bedroom per year. - Possible extension (Years 21-30): if well maintained/refurbished, cap becomes $250/room/year in New Providence.

	grand-reopening-after-55-million-revamp 5. https://www.travelpulse.com/news/hotels-and-resorts/sandals-royal-bahamians-grand-reopening-after-55-million-revamp 6. https://www.bhahotels.com/ 7. https://www.centralbankbahamas.com/derek-pinder 8. https://www.tribune242.com/news/2025/apr/23/imf-raises-bahamas-growth-forecast-amid-trump-turmoil/ 9. https://www.imf.org/en/Countries/BHS 10. https://www.condohotelsbahamas.com/articles/tax-exemptions.html 11. https://higgsjohnson.com/new-condo-	in the Bahamas is the government's tourism incentives and tax policies. Under the Hotels Encouragement Act, the Bahamian government provides duty exemptions on construction materials and equipment for hotel projects. In specific large projects, these exemptions translate into 35% to 40% savings on development costs, via customs duty relief. These kinds of concessions are important because import duties in the Caribbean are usually high, often adding around 10-15% to total development costs.	- No direct taxes on earnings (stability clause): For 20 years after opening, no direct taxes on earnings/dividends/rentals of the hotel (protects against new direct levies on the hotel's income). - Local employment rule: At least 75% of staff must be Bahamian (impacts workforce planning/costs). Refurbishment specifics for New Providence (where Sandals is): Under the Hotels Encouragement (Customs Duties Exemption) Order, major rehabs in New Providence/Paradise Island get a reduced 10% customs duty on listed items (Second Schedule). Family Islands get full exemption for those rehab items. All-inclusive hotels may also get sporting-equipment duty exemptions on first-time purchases. Quantifying the impact on Sandals Royal Bahamian 1) Property tax benefit Room count: 404 - Years 1-10: 0 tax.

<table>
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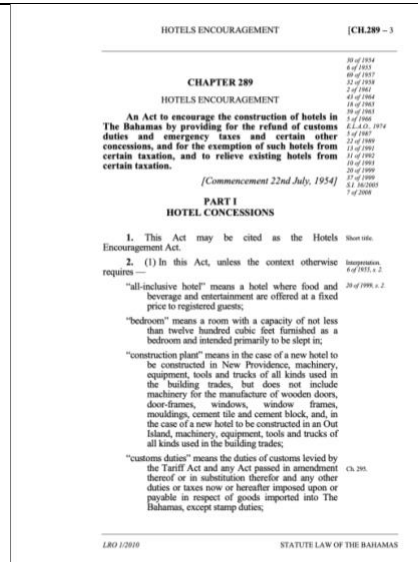
<td>hotel-tax-announced/

12. https://higgsjohnson.com/real-estate-transactions-legislative-amendments/</td>
<td>
HOTELS ENCOURAGEMENT [CH.289 – 3

CHAPTER 289
HOTELS ENCOURAGEMENT

30 of 1954
6 of 1955
69 of 1957
32 of 1958
2 of 1961
43 of 1964
18 of 1965
39 of 1965
5 of 1966
E.L.A.O., 1974
5 of 1987
22 of 1989
13 of 1991
31 of 1992
10 of 1993
20 of 1999
37 of 1999
S.I. 36/2005
7 of 2008

An Act to encourage the construction of hotels in The Bahamas by providing for the refund of customs duties and emergency taxes and certain other concessions, and for the exemption of such hotels from certain taxation, and to relieve existing hotels from certain taxation.

[Commencement 22nd July, 1954]

PART I
HOTEL CONCESSIONS

Short title.
1. This Act may be cited as the Hotels Encouragement Act.

Interpretation. 6 of 1955, s. 2.
2. (1) In this Act, unless the context otherwise requires —

20 of 1999, s. 2.
"all-inclusive hotel" means a hotel where food and beverage and entertainment are offered at a fixed price to registered guests;

"bedroom" means a room with a capacity of not less than twelve hundred cubic feet furnished as a bedroom and intended primarily to be slept in;

"construction plant" means in the case of a new hotel to be constructed in New Providence, machinery, equipment, tools and trucks of all kinds used in the building trades, but does not include machinery for the manufacture of wooden doors, door-frames, windows, window frames, mouldings, cement tile and cement block, and, in the case of a new hotel to be constructed in an Out Island, machinery, equipment, tools and trucks of all kinds used in the building trades;

Ch. 295.
"customs duties" means the duties of customs levied by the Tariff Act and any Act passed in amendment thereof or in substitution therefor and any other duties or taxes now or hereafter imposed upon or payable in respect of goods imported into The Bahamas, except stamp duties;

LRO 1/2010 STATUTE LAW OF THE BAHAMAS

Duty Exemptions: Allows for duty-free entry of approved construction materials, furnishings, and fixtures needed for hotel development.

Tax Exemptions: Provides an exemption or concession from real property tax for the first 20 years of a hotel's operation.

Goal: To encourage the construction and development of new hotels in the country.

Inflation, measured through the Consumer Price Index (CPI), and</td>
<td>- Years 11-20: 404 × $20 = $8,080/year (total $80,800 over 10 years).

- If extended (Years 21-30): 404 × $250 = $101,000/year (total $1,010,000 over 10 years).

What would property tax look like without HEA?

Bahamas commercial real-property tax bands are 0.75% (first $500k), 1% (next $1.5M), then 1.5% above $2M.

Example: if a 404-room oceanfront resort were assessed at $300M, the annual tax would be roughly $4.49M.

Calc: (0.75%×$0.5M = $3,750) + (1%×$1.5M = $15,000) + (1.5%×$298M = $4,470,000) ≈ $4,488,750.

Savings vs the status quo (with $300M assessed value):

- Years 1-10: save ≈ $44.9M total (no tax).

- Years 11-20: pay $8,080/year instead of ≈ $4.49M save ≈ $44.9M more over 10 years.</td>
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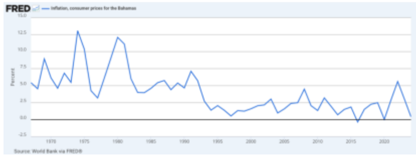
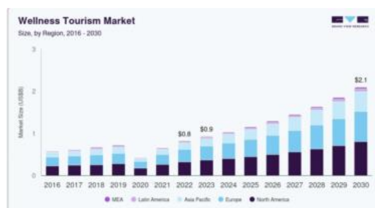
		the pass-through effect from a USD-peg, influence operating costs, particularly for imported goods such as luxury furnishings, imported food and beverages, and construction materials.  As of 2023, the Hotels Encouragement Act in The Bahamas has been amended to introduce a "Condo-Hotel Tax," specifically targeting properties that operate as part of a hotel's inventory This change modifies the previous tax benefits under the Act and creates new tax liabilities for certain property owners. Effective January 1, 2023, properties in a condo-hotel or hotel rental pool are now subject to the new tax. The Condo-Hotel Tax is 75% of the residential real property rate and is due annually by January 31. The amendment aimed to create a "level playing field" for tax contributions between traditional	- Total 20-year property-tax delta: ~$89.8M in avoided tax (plus optional extension savings in Years 21-30). Customs duty savings on capex (renovations/new build) Sandals Royal Bahamian's US$55M revamp (2022) is a good benchmark. Assume a share of that spend was imported "Second Schedule" items (FF&E, MEP equipment, finishes). For major renovations in New Providence, the Order sets 10% duty on those items; without HEA benefits, many categories would face higher tariff rates (Bahamas' tariff bands commonly run from single-digits up to 35%+ depending on the item). Duty-savings scenarios on the $55M project (assume 60% imported = $33M of dutiable items): - If the "normal" duty would have averaged 20%: baseline duty $6.6M; with HEA rehab rate 10%: $3.3M; savings ≈ $3.3M. - If "normal" averaged 30%: baseline $9.9M; HEA $3.3M; savings ≈ $6.6M. - If "normal" averaged 35%: baseline $11.55M; HEA $3.3M; savings ≈ $8.25M. Extras specific to all-inclusive operations:

		hotels and vacation rentals that benefit from public infrastructure. Rate: 75% of residential property rate (which is 0.625% under the Real Property Tax Act). So 0.625% × 75% = 0.46875% (on assessed value) is the minimum tax rate. Maximum annual CHT allowed: BSD 150,000 per annum.	First-time purchases of sporting equipment for all-inclusive hotels can be duty-exempt under the Order; e.g., on \$1.0Mof qualifying gear, a 35% "normal" duty avoided = \$350k saved. Why this drives change for Sandals - Front-loaded ROI: Zero property tax for 10 years + sharply reduced duties pulls forward returns and improves debt coverage in early years - Long-tail stability: The \$20/room cap in years 11-20 (and potential \$250/room extension) keeps fixed costs predictable even if assessed values surge: critical in a rising-cost coastal market. - Refurbishment bias: For New Providence properties, the 10% rehab duty strongly incentivizes periodic large refreshes (exactly like the \$55M 2022 revamp) because every extra dollar of imported FF&E/MEP effectively gets a duty discount versus standard tariffs. Policy drift to watch: Although separate from the HEA, the 2023 Condo-Hotel Tax (75% of the residential rate; cap \$150,000/yr) shows the government tightening hotel-adjacent concessions. It doesn't typically hit a pure Sandals

			resort, but it’s a sign that future tweaks to incentives are possible.

Socio-Cultural (Yasmin)

Sub-Categories	Sources	Value Drivers	Forces Driving Change
Global Trends	1. https://globalwellnessinstitute.org/press-room/press-releases/the-global-wellness-economy-reaches-a-new-peak-of-6-3-trillion-and-is-forecast-to-hit-9-trillion-by-2028/ 2. https://www.grandviewresearch.com/industry-analysis/wellness-tourism-market 3. https://www.hvs.com/article/10179-managing-hotel-labor-costs-today 4. https://www.hvs.com/article/10179-managing-hotel-labor-costs-today	**Global Trends** Global trends in wellness, sustainability, and eco-conscious living are influencing local and visitor lifestyles, supported by marine conservation initiatives and sustainability efforts. Global trends in wellness, sustainability, and eco-conscious living are influencing local and visitor lifestyles. As the Bahamas invests in marine conservation and eco-friendly initiatives, resorts face increased pressure to incorporate these into operations. Global wellness and eco-tourism are projected to expand rapidly, with the wellness economy forecast to grow from $6.3 trillion in 2023 to $9 trillion by 2028. Wellness tourism alone is expected to outpace general tourism growth, expanding at an average of 7–8 percent annually.	**Incorporating Bahamas into Operations** Integration of local culture into resort experiences allows Sandals to differentiate itself from competitors, offering guests authenticity and deeper engagement with Bahamian traditions. Integration of local cultural events creates differentiated offerings. Authentic cultural programming can increase guest spend on-site (excursions, entertainment) by 5–8%, adding to ancillary revenue. Suggestion to add more cultural programming led my employees from the area to be more culturally “correct” and price for experience. ROI on equipment, licenses, and training to do programming is estimated to be between 2-5 years. **Adopting Wellness and Sustainability** Sandals can enhance brand reputation and attract wellness-focused travelers by offering spas with locally inspired treatments, yoga on the beach, and environmentally conscious practices, aligning with both local values and global tourism demand. For Sandals, aligning with this trend could boost room rates and occupancy, driving 2–4% revenue growth annually.

	5. https://www.ahla.com/sites/default/files/Turning_Down_Turnover-10.16.23.pdf 6. https://staffedup.com/reducing-labor-costs-in-hospitality/ 7. https://znsbahamas.com/tourism-remains-strong-during-this-slow-period/ 8. https://www.prnewswire.com/news-releases/bahamas-arrives-at-sotic-with-strong-tourism-boom-message-302234530.html 9. https://www.bahamas.com/pressroom/the-bahamas-	 Resorts that offer wellness programming, such as spa services, yoga retreats, and eco-friendly initiatives, report 9–12 percent higher RevPAR (revenue per available room) compared to those without.  	Tourism-driven lifestyles provide a natural alignment with luxury hospitality. The service orientation of the Bahamian workforce, combined with a culture of friendliness and hospitality, ensures high-quality guest experiences and fosters long-term loyalty for resorts like Sandals Royal Bahamian. **Building Resilience** Reliance on tourism introduces vulnerability to global disruptions, such as pandemics, recessions, or climate shocks. While these risks cannot be eliminated, embedding local culture and wellness offerings creates resilience by attracting high-value, experience-driven travelers who are less price-sensitive. High value + High Pricing = High Return.

	drives-unprecedented-tourism-growth--welcoming-more-than-11-million-visitors-in-2024		

Technological Environment (Leyanes)

<table>
<tr><th>Sub-Categories</th><th>Sources</th><th>Value Drivers</th><th>Forces Driving Change</th></tr>
<tr>
<td>Guest-Services Technology</td>
<td>1. Sandals mobile app https://www.sandals.com/mobile-app/

2. JD Power: Smart TVs, engagement through apps boost satisfaction for hotel guests https://www.costar.com/article/389555945/jd-power-smart-tvs-engagement-through-apps-boost-satisfaction-for-hotel-guests

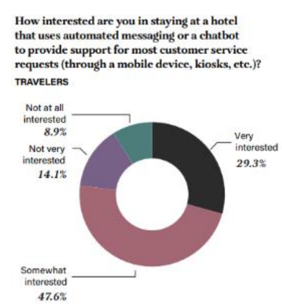
3. Hospitality in 2025 Report by Skift and Oracle Hospitality https://www.oracle.com/a/ocom/docs/industries/hospitality/hospitality-industry-trends-for-2025.pdf

5.Cornell University</td>
<td>Continued Integration of New Guest-Services Technology

The hospitality industry is continuously evolving, and the integration of new guest-services technology is at the forefront of enhancing the guest experience. One of Sandals first contributions to technological devices is the Sandals & Beaches App which was created in 2016, allowing guests to check in online, manage their reservations, and track their loyalty rewards seamlessly. With an investment ranging from $25,000 to $42,000, the app has provided guests with essential tools that enhance their stay and encourage repeat visits, reflecting Sandals' focus on increasing both satisfaction and revenue.

Fast forward to 2023, Sandals Royal Bahamian made a huge upgrade to the convention center featuring advanced audio systems, improved</td>
<td>Enhancing New Guest-Services Technology

The rising expectations of guests are a key factor driving transformative changes in the hospitality industry’s technology landscape. According to the J.D. Power 2025 North America Hotel Guest Satisfaction Index (NAGSI) Study, guests who use a hotel’s mobile application report satisfaction scores that are 68 points higher than those who do not. Additionally, the Skift & Oracle Hospitality 2025 Report highlights that 77% of guests prefer automated communication or chatbots, indicating that today's travelers expect a seamless integration of technology throughout their hospitality experience. This trend showcases that modern guests increasingly look to engage with technology during their hotel stays, necessitating enhancements in guest service technology.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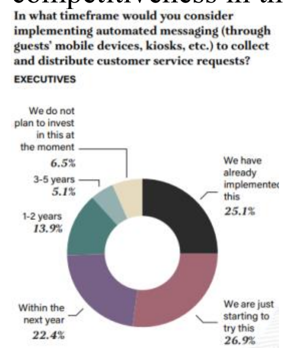
	Center for Hospitality Research https://www.customer-alliance.com/en/articles/guest-satisfaction-survey/?. 6. How AI Is Helping Hospitality Companies in Little Rock Cut Costs and Improve Efficiency https://www.nucamp.co/blog/coding-bootcamp-little-rock-ar-hospitality-how-ai-is-helping-hospitality-companies-in-little-rock-cut-costs-and-improve-efficiency?. 7. Hospitality Net on direct booking campaigns https://www.hospitalitynet.org/opinion/4126669.html?. 8. How Much Does It Cost to Build a Booking App Like Booking.com in 2025? https://www.scrumlaunch.com/blog/how-	color radiance for displays, and FailOver technology for operational safety during outages. This facility also allows for seamless presentations and effective teleconferencing, showcasing Sandals' investment in the quality of guest services during events. The estimated investment of approximately **$5 million to $7 million** underlines the importance of high-quality technological integration in enhancing guest experiences at conventions and meetings. Looking ahead to 2024, Sandals is amplifying its guest-services technology further through a strategic partnership with **IBS Software's iStay platform**. With an estimated investment between **$3 million and $10 million,** this partnership aims to streamline processes, implement data-driven decision-making, and personalize guest interactions more effectively. Such investments indicate Sandals' dedication to continuously improving the guest experience and adapting to modern technological advancements.	The continuous advancement of technology, coupled with rising competition, push hotels to invest heavily in innovative solutions such as contactless technology. Per the same Skift and Oracle Hospitality report, an impressive **96% of hoteliers are focusing on such investments this year,** showcasing both competitive pressure and the need to innovate in alignment with evolving guest expectations. For example, Sandals' proactive investments in technology bolster its competitiveness in the market..  Integrating modern technologies that combine reservations, revenue management, call center services, analytics, and distribution into a single automated platform not only reduces costs and minimizes error-prone decisions but also accelerates the time needed to deliver significant results. Preventing overbookings through these systems enhances the overall guest experience, further driving satisfaction

	much-does-it-cost-to-build-a-booking-app-like-booking-com 9. New High-Tech Convention Center https://smallmarketmeetings.com/articles/sandals-royal-bahamian-resort-unveils-new-high-tech-convention-center/?. 10. Commercial Construction Cost per Square Foot in the US https://www.djcwest.com/how-much-does-event-av-cost 11. 1. iStay Central Reservation System https://www.ibsplc.com/news/unique-travel-corp-worldwide-representative-of-sandals-and-beaches-resorts-chooses-istay-central-reservation-system-from-ibs-software-to-modernize-its-technology-platform#:~:text=The%		**Impact** Research from Cornell University reveals that even a one-point increase in guest satisfaction can lead to an estimated annual revenue boost of approximately $10 million for a hotel. With this data in mind, we can anticipate a revenue increase of about **5% to 7% per guest over the next 3 to 5 years**, primarily driven by enhanced guest satisfaction. Additionally, a study by Nucamp on AI applications in the hospitality industry predicts that automating messaging through **mobile apps could reduce labor costs by 10% to 15% over the next 2 to 3 years.** Moreover, transitioning to mobile apps may shift 10% to 20% of bookings from online travel agencies (OTAs) to direct channels, leading to **improved profitability by saving 15% to 20% in commission fees** (Hospitality Net, 2025). **Convention centers can significantly boost hotel revenue by 10-25%**, primarily driven by the meetings and events sector. Furthermore, a study by PW Consulting indicated that hotels **utilizing CRS platforms experience a 25% increase in operational efficiency.** Another study found that these platforms can lead to a **15% reduction in operational expenses** due to enhanced workflows and decreased human errors. For Sandals Bahamas Resort, this information translates into an anticipated **annual revenue increase of approximately $6 million to $8.4 million**, largely fueled by improved guest

	20partnership%20with %20UTC%20further 12. Smarter Central Reservation System is a Strategic Advantage for Modern Hotel Portfolios https://insights.ehotelier.com/insights/2025/07/28/why-a-smarter-central-reservation-system-is-a-strategic-advantage-for-modern-hotel-portfolios/?. 13. How long does a CRM implementation really take? https://marketingguys.com/blog/realistic-timelines-for-a-crm-implementation/#:~:text=The%20implementation%20time%20of%20a%20CRM%20system,integrations%20and%20the%20availability%20of%20internal%20resources. 14. Hotel Management Software Pricing		satisfaction. Over three years, this amounts to an estimated total **increase of $18 million to $25.2 million.** Additionally, labor cost reductions and a shift in bookings from OTAs to direct channels could enhance net profitability by up to **$7.65 million annually**, attributable to cost savings. Furthermore, the organization can expect a **25% increase in efficiency and a 15% reduction in costs**, thanks to improved operational practices. **Timing** The implementation of mobile applications and contactless technology is anticipated to enhance guest satisfaction and operational efficiency in the short term (1–2 years) and provide lasting cost reductions and a competitive edge in the long term (5+ years). Research also indicates that within a year, benefits such as an increase in efficiency and reduction in costs due to improved operational efficiency can also be reflected.

	Models https://moldstud.com/articles/p-understanding-hotel-management-software-pricing-models-a-comprehensive-guide?.		

Task Environment Analysis

The Value Adding Manager

Executive Summary

This section continues the analysis of the forces driving change in the Caribbean hospitality environment, examining how external trends influence Sandals Royal Bahamian's task environment and strategic priorities. Understanding and anticipating these shifts enables the resort to remain competitive by identifying future-oriented, sustainable value-adding methods aligned with evolving guest expectations and industry standards. Findings indicate that Sandals Royal Bahamian is well-positioned to serve both the modern luxury traveler and the emerging experience-driven guest of tomorrow, though it will need to adapt its operations, supplier relationships, and service delivery as environmental, technological, and social trends evolve. Continuous innovation will be essential as the preferences of future travelers differ from those of today.

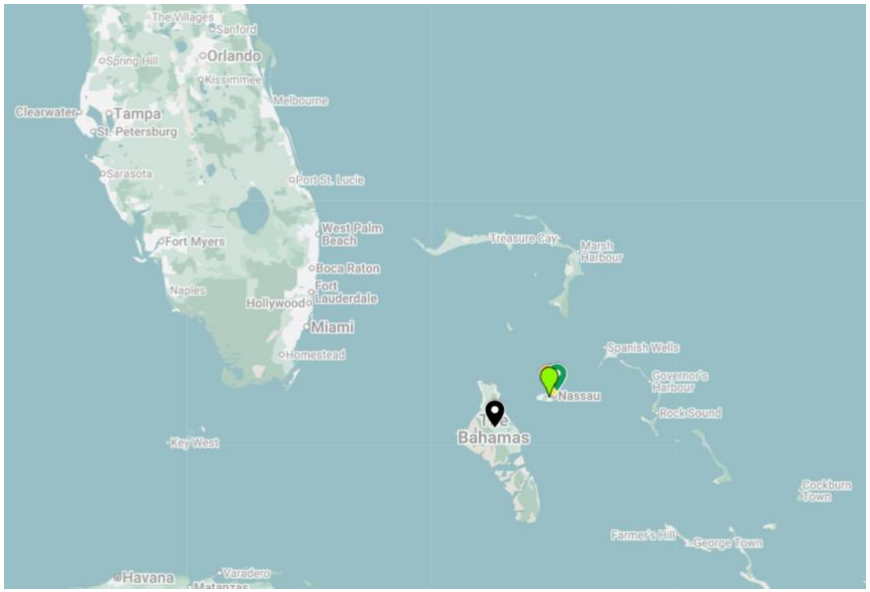
Based on the environmental and competitive analysis, the following strategic opportunities have been identified to strengthen long-term value:

- Development of immersive, experience-based romance and wellness packages tailored to guest interests and cultural engagement.
- Deeper integration with the local Bahamian community, showcasing authentic culture, cuisine, and sustainable tourism practices.
- Enhanced marketing of sustainability initiatives, eco-certifications, and luxury inclusions to reinforce brand trust and loyalty.
- Investment in smart technologies and connected systems to optimize energy and water use while improving guest comfort and operational efficiency.

Sandals Royal Bahamian has historically been an innovator within the all-inclusive luxury segment, and sustaining this leadership will require continued investment in forward-thinking competitive methods that blend digital innovation, environmental responsibility, and personalized service to strengthen its position in the evolving Bahamian luxury hospitality market.

Domain Definition

Nassau, the capital of the Bahamas, is one of the Caribbean's most sought-after luxury tourism destinations, welcoming over 7 million visitors annually, including both cruise and overnight guests. The island promotes itself as the "Cultural Capital of the Bahamas", offering travelers a blend of historic charm, vibrant nightlife, and pristine tropical beaches. Its close proximity to the U.S. East Coast and well-connected Lynden Pindling International Airport make Nassau highly accessible from major North American cities, with flight times of less than one hour from Florida and under three hours from many East Coast gateways.



Cable Beach, where Sandals Royal Bahamian Resort is located, is often referred to as the "Bahamian Riviera." Known for its turquoise waters, white-sand shoreline, and cluster of high-end resorts, it has become synonymous with upscale, adults-only getaways. The Bahamas' year-round tropical climate, clear waters, and reputation for safety and hospitality help sustain a strong average annual occupancy rate of approximately 70–75%, supported primarily by the U.S., Canadian, and U.K. markets.

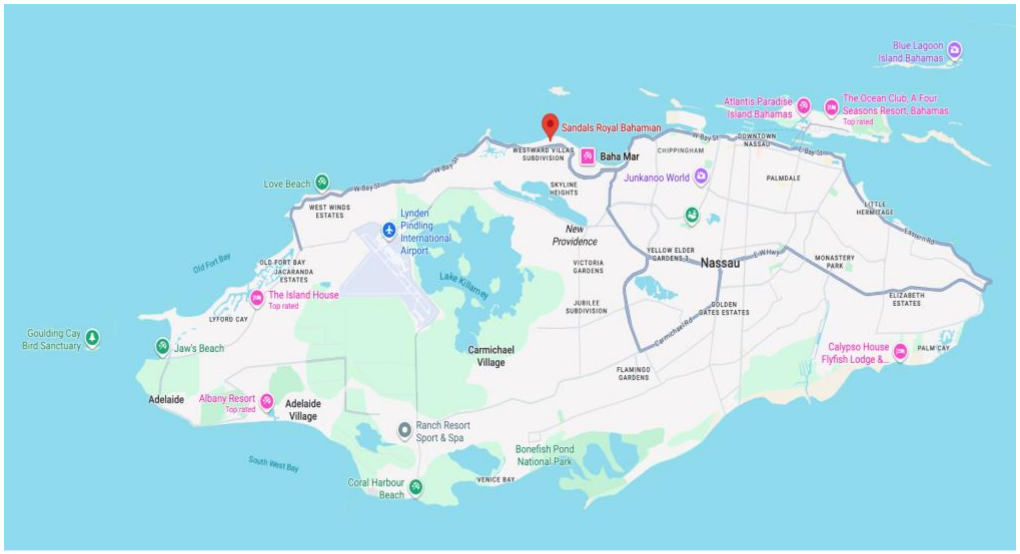
The typical visitor demographic for Nassau includes couples aged 30–60, generally with household incomes above $100,000. Sandals Royal Bahamian specifically attracts honeymooners, anniversary travelers, and couples seeking an exclusive, stress-free all-inclusive experience. Its 404 guestrooms and suites, many featuring butler service and oceanfront views, are complemented by 10 gourmet restaurants, 8 bars, and a private offshore island.

The property's "Luxury Included" model eliminates the need for guests to manage expenses during their stay, making it highly appealing to affluent travelers who prioritize convenience and service quality. Unlike other large-scale resorts in Nassau, Sandals positions itself distinctly within the ultra-couples' segment, where privacy, personalization, and luxury are the defining factors.

While competition along Cable Beach is intense, particularly from Baha Mar and Atlantis Paradise Island, Sandals Royal Bahamian differentiates itself through its romance-centric focus, elevated service standards, and private island experience, aligning closely with evolving traveler preferences for meaningful, experience-driven vacations.

Geographic Market Area (Leyanes)

The geographic sources of customers, ranked by the volume of business generated, are as follows: North America, which includes the U.S. and Canada, is the most significant market, attracting the highest number of travelers due to its proximity and strong interest in Caribbean vacations. Following closely is Europe, serving as the second-largest source of customers drawn to the appeal of all-inclusive Caribbean vacation packages. Other Caribbean nations contribute to the customer base, but to a lesser extent, driven by their geographical closeness to the resorts. For instance, Caribbean neighbors such as Jamaica and the Dominican Republic often travel within 1,000 miles to reach the resorts, while travelers from the U.S. and Canada typically cover distances of about 1,500 miles. In contrast, European countries like the U.K. and Germany have the longest flights, usually exceeding 4,000 miles. The most common mode of travel for customers reaching Sandals resorts is through airlines.



Target Market Descriptors (Salem)

Primary Criteria Used to Describe the Target Market	Detailed Profile of Target Market
Leisure Travelers	Adults aged 25+ from the U.S., Canada, and the U.K., seeking a tropical, all-inclusive getaway. They prefer luxury, comfort, and convenience with minimal planning and are drawn to the resort's private island and curated dining.
Pleasure/Romance Travelers (Honeymooners & Couples)	Romance-driven guests celebrating honeymoons or anniversaries who value privacy, butler service, and spa experiences. They typically stay 5–7 nights and spend more on premium suites and private events
Destination Wedding Travelers	Couples hosting small, intimate weddings who prefer beachfront venues and all-inclusive planning. Mostly from North America, they combine weddings with honeymoons and contribute high per-stay revenue through group packages
Eco-Luxury & Experience-Driven Travelers	Environmentally conscious, high-income travelers aged 30–50 seeking luxury with purpose. They are drawn to coral restoration programs and eco-friendly practices, valuing authenticity and sustainable tourism

Customer of Today/Tomorrow (Salem)

Customer of Today	Customer of Tomorrow
Booking via: • Direct (brand.com): ~35–50% • OTAs (e.g. booking)/ metasearch: ~25–40% • Travel advisors: ~10–25%	**Booking via:** • Direct (brand.com + mobile/app): ~50–65% • OTAs / metasearch: ~20–30% • Travel advisors: ~8–15%

• Phone / Walk-ins: ~0–5%	• Phone / Walk-ins: ~0–3%
Booking time: • Leisure: 1 to 6 months • Romance/Wedding: longer lead time for event planning	**Booking time:** • Leisure: (1–2 months) as air access improves. • Romance/Wedding: moderate lead time, aided by digital planning tools (i.e. Digital Twin technology)
Decision to book influenced by: • Brand reputation, romance/wedding packages, online reviews, travel advisors for complex itineraries	**Decision to book influenced by:** • Sustainability credentials, reef quality footage, influencers/social media, AI personalization
In-room / on-property standards: • Luxury butler service, curated dining, marine activity inclusion	**In-room / on-property standards:** • Smart hotel features, eco-certified amenities, conservation experiences

Industry Critical Success Factors- Kimecha

The hospitality and tourism industry in the Caribbean is driven by sustainability, technology adoption, and consistent service quality. For Sandals Royal Bahamian, these elements determine long-term profitability, competitiveness, and resilience against economic and environmental shifts. The table below outlines the key success factors, value drivers, and current forces shaping performance in the Bahamian luxury resort segment.

Sustainability, technology, and service excellence form the foundation of Sandals Royal Bahamian's long-term advantage. These factors not only shape guest satisfaction and loyalty but also determine cost efficiency and resilience in a changing global market. Continued investment in green innovation, workforce development, and digital integration will ensure Sandals maintains its leadership position across the Caribbean.

Industry Leader

Sandals Royal Bahamian currently dominates the Bahamian luxury market. Its $55 million renovation and strong all-inclusive model keep it competitive, while sustainability, technology, and service quality give it an edge. However, with Rosewood Exuma and Six Senses Grand Bahama set to open soon, Sandals will need to continue investing in these areas to stay ahead.

Critical Success Factors	Description	Industry Leader
Sustainability & Environmental Care NOAA Sea Level Rise Technical Report (2022) Global Wellness Institute 2024 Monitor Wellness Tourism Trends 2024 EarthCheck	Environmental stewardship is central to the success of Caribbean hospitality. Sandals Royal Bahamian's eco-luxury identity is anchored in initiatives like LED retrofitting, smart water systems, and coral reef rehabilitation programs. These efforts not only lower operational costs by 20–30 percent but also attract the growing market of sustainability-driven travelers. With sea levels	**Sandals Resorts International** – EarthCheck-certified leader for sustainable Caribbean resorts.

	projected to rise **25–35 cm by 2050**, the resort's commitment to sustainable architecture and EarthCheck certification ensures climate resilience, regulatory compliance, and long-term guest trust. Additionally, the **Global Wellness Institute (2024)** highlights an expected **16–17 percent annual growth in wellness tourism**, confirming that eco-conscious practices directly translate into higher demand and profitability.	
Technology & Guest Experience J.D. Power Hotel Guest Satisfaction 2025 Oracle Hospitality 2025 Report Skift Hospitality Tech Trends 2024	The integration of digital systems has transformed guest service at Sandals Royal Bahamian. The resort's mobile app, contactless check-in, and AI-powered concierge create seamless, personalized experiences that elevate satisfaction and brand loyalty. Automation also enhances efficiency—reducing labor hours and errors while lowering OTA commission costs by 15–20 percent. These tools reflect a global shift, with **96 percent of hotels adopting contactless technology** to meet post-pandemic expectations for safety and convenience. In the luxury segment, digital ecosystems are not only operational tools but also brand differentiators that define modern hospitality excellence.	**Sandals Resorts International** – pioneer in guest-app integration and direct-booking ecosystem.

Service Quality & Workforce Strength AHLA 2023 Hotel Review HVS Caribbean Benchmark 2024	In luxury hospitality, the guest experience is defined by people, not property. Sandals Royal Bahamian's service excellence is sustained through continuous training, employee engagement, and wellness programs that support retention and motivation. With labor representing **35–40 percent of operating costs**, human resource management becomes a critical success factor. According to **HVS (2024)**, resorts investing in training and internal mobility achieve higher guest spending—between **5 and 8 percent increases**—and improved brand loyalty. As workforce competition intensifies across the Caribbean, Sandals' investment in service culture and local development programs ensures operational consistency and long-term talent sustainability.	**Sandals Royal Bahamian / Sandals Resorts International** – model for structured training and retention programs.
Industry Leadership & Brand Positioning Sandals Press Room $55 M Renovation Travel Pulse Coverage 2024	Sandals Royal Bahamian's **US $55 million renovation** revitalized its position in the Bahamian luxury market, blending eco-luxury design with contemporary service innovations. The property's exclusive offshore island and elevated amenities have strengthened its reputation as a destination within a destination. As new entrants like **Rosewood Exuma** and **Six Senses Grand Bahama** prepare to enter the market (2026–2028), Sandals' leadership hinges on continuous reinvestment, market	**Sandals Resorts International** – regional benchmark for reinvestment and brand innovation with Bahamas Tourism partnerships.

	research, and partnership with the **Bahamas Ministry of Tourism**. The resort's brand strategy emphasizes innovation rooted in authenticity—combining Caribbean heritage with world-class sophistication.	

Competitor Analysis (Yasmin)

Main Subject

Hotel Name: Sandals Royal Bahamian Resort

Sandals Royal Bahamian Resort is a 404-room luxury all-inclusive resort located on Cable Beach in Nassau, Bahamas. The property caters exclusively to couples and is positioned as a premier adults-only, all-inclusive destination in the Caribbean. Originally opened in the 1940s and once frequented by the British monarchy, the resort blends modern luxury with British colonial charm.

Following a $55 million renovation completed in 2022, Sandals Royal Bahamian redefined its luxury offering through redesigned suites, expanded swim-up rooms, a new Island Village with pastel-colored villas, and upgraded dining concepts. The resort features 10 gourmet restaurants, 8 bars, and Sandals' signature offshore private island, *Barefoot Cay*, accessible by boat. The island offers two secluded beaches, a swim-up bar, seafood restaurant, and spa cabanas, creating a "resort-within-a-resort" experience.

Amenities include seven pools, two whirlpools, a Red Lane Spa, on-site water sports (including scuba diving and snorkeling), and evening entertainment programming. The resort's "Luxury Included" model means that all meals, premium liquor, water sports, airport transfers, gratuities, and entertainment are included in the room rate, eliminating add-on costs and creating a hassle-free luxury experience.

Sandals Royal Bahamian primarily attracts couples from the United States and Canada, often in the 30–60 age range, with household incomes exceeding $100,000. The resort appeals to honeymooners, destination wedding travelers, and couples celebrating special occasions. Its marketing emphasizes romance, exclusivity, and stress-free indulgence.

PRIMARY MARKET(s): U.S. and Canadian couples, aged 30–60, upper-middle to high-income. Key segments include honeymooners, romantic vacationers, and anniversary travelers. Business, family, and group markets are minimal due to the couples-only model.

Competitive Methods	**Trends Related to CM**	**Competitive Advantage**	**Estimate of Value Added**	**Key Innovation of the last 5 years**	**Expected future actions to enhance method**	**Vulnerabilities to exploit**
Couples-Only All-Inclusive Model	Demand is growing for stress-free, adult-only getaways emphasizing privacy and convenience.	Sandals differentiates by excluding families and groups, creating a romantic, adult-centric environment.	Simplifies planning, increases guest satisfaction, and drives repeat stays. High perceived value for couples.	Full redesign in 2022 with focus on modern luxury and personalized experiences. (9)	Continue expanding premium suite categories and customized packages (e.g., vow renewals, proposal experiences).	Limited market scope—excludes families and groups. Seasonal occupancy fluctuations during off-peak months.
Private Offshore Island (Barefoot Cay)	Travelers increasingly value exclusive, private spaces that feel secluded yet accessible.	The island adds experiential depth, providing variety without leaving the resort.	Enhances perceived luxury; supports premium pricing and brand storytelling.	Relaunched in 2022 with upgraded dining, spa cabanas, and beach club. (10)	Expand exclusive island offerings—private events, overwater lounges, or "day retreat" experiences.	Accessibility dependent on weather and water conditions.
Luxury Accommodations & Butler Service	Personalization and high-touch service are major decision factors in luxury travel.	Butler Elite and Club Sandals tiers deliver 24/7 personalized service and exclusivity.	Raises ADR and guest satisfaction; attracts high-spending clientele.	Introduction of swim-up suites, Butler Villas, and Love Nest Butler Suites®. (12)	Incorporate smart-room technology and experiential amenities (e.g., private plunge pools, AI concierge).	Service delivery highly dependent on staff retention and training quality.

Culinary & Beverage Excellence	Culinary variety and quality have become key differentiators for all-inclusive resorts.	10 gourmet restaurants and premium liquors appeal to food-focused travelers.	Drives guest retention and supports luxury positioning.	Launch of new restaurant concepts (La Plume, Butch's Island Chop House, Kanoo Caribbean fusion). (9)	Partner with celebrity chefs or develop themed culinary events.	Guests may perceive limited local authenticity in cuisine; comparisons to à la carte dining outside the resort.
Sustainability & Community Investment	Travelers increasingly prefer brands with visible environmental and social commitments.	Operated under the Sandals Foundation, supporting education, environment, and community projects across the Caribbean.	Enhances brand reputation and aligns with growing eco-conscious market segments. (13)	Expanded coral restoration and marine conservation projects.	Increase transparency and guest participation in sustainability efforts (e.g., reef tours, volunteering).	Risk of "greenwashing" perception if initiatives are not clearly communicated or measured.

Competitor #1

Hotel Name: Atlantis Paradise Island

Atlantis Paradise Island is a 3,805-room mega resort located on Paradise Island in the Bahamas. Owned by Brookfield Asset Management, the resort is comprised of multiple towers (The Royal, The Coral, The Reef, The Cove, and Harborside Resort) each catering to different market tiers, from family-friendly to ultra-luxury. Atlantis is one of the most expansive destination resorts in the Caribbean, offering over 60,000 square feet of casino space, a 141-acre water park (Aquaventure), 11 swimming pools, a world-class marina, and the Ocean Club Golf Course. The property includes more than 40 restaurants, bars, and lounges, along with over 500,000 gallons of marine exhibits, making it one of the largest marine habitats in the world. The resort also boasts extensive meeting and convention space, including the Imperial Ballroom and the Imperial Arena, positioning it as a strong player in the incentive travel and business events market. While detailed occupancy data is not publicly disclosed, the resort is known for its high seasonal occupancy, particularly from U.S. based travelers. According to SimilarWeb data, approximately 87% of website traffic originates from the United States, supporting its positioning as a premier destination for domestic and family-focused leisure travelers. The property is branded independently but has previously partnered with Marriott's Autograph Collection. Atlantis positions itself as a leader in Caribbean tourism with a strong emphasis on entertainment, family experiences, and marine conservation.

PRIMARY MARKET(s): Predominantly U.S. leisure travelers, including families, multi-generational groups, and couples. Guest age range likely 30–60+, with income levels in the upper-middle to high-income brackets. While group and business travelers represent a smaller share, Atlantis's large event facilities do attract conferences and incentive travel groups.

Competitive Methods	Trends Related to CM	Competitive Advantage	Estimate of Value Added	Key Innovations of the last 5 years	Expected future actions to enhance method	Vulnerabilities to exploit
Destination resort + attractions	Travelers increasingly demand "experience-rich" resorts where guests don't need to leave property.	Atlantis creates a self-contained destination that appeals to families, groups, and guests seeking diversity in one place.	The attractions (Aquaventure, marine habitat, casino) drive incremental revenue beyond room rates—boosting per-guest spend and length of stay.	In 2025, Atlantis added eight new dining concepts, a mini-golf course, escape rooms, boutiques, pickleball courts, The Edge Beach Reserve, etc. (1)	Further expansion of experiential offerings (e.g. immersive entertainment, themed attractions, partnerships with celebrity chefs or branded experiences)	The scale can dilute exclusivity; guests may feel "lost" in a massive resort. Also, food & beverage or ancillary charges can lead to guest dissatisfaction when expectations of "resort inclusive" are high.
Scale and brand recognition	Mega resorts and brand presence reassure risk-averse travelers; large resorts are better able to spread fixed costs across	Atlantis is one of the most recognizable resort brands in the Caribbean, with broad market awareness and capacity to host	High occupancy potential and ability to fill rooms through event & package tie-ins help maximize revenue across seasons.	Major renovations: in a $150M resort-wide transformation, Atlantis updated its casino, guestrooms, restaurants, and	Continue reinvesting in property refreshes, technology upgrades, and optimizing guest flow to reduce congestion.	High fixed costs; vulnerability to downturns or overcapacity in low season. Maintenance and aging infrastructure can lag guest

	many revenue streams.	large events/conferences.		added new dining & retail offerings.(2)		expectations.
Dining and F&B variety	Guests increasingly look for unique and diverse culinary experiences, especially local and signature restaurants.	With over 40+ restaurants and multiple bars, Atlantis can appeal to varied tastes and retain guests on property.(3)	By capturing more spend in-resort (vs. leakage to off-site restaurants), F&B contributes significantly to total revenue.	Expansion of dining concepts and elevating the culinary portfolio.(4)	Introduce celebrity chef partnerships, pop-up dining experiences, culinary festivals, or F&B packages	Some guests may view food & drink as overpriced; transparency and perceived value can be challenged, especially compared to all-inclusive models.
Environmental Sustainability	Sustainability is becoming a travel decision factor; marine conservation is especially relevant in island destinations.	Atlantis' marine habitats and conservation programs (e.g. Dolphin Cay) help build eco-branding and guest goodwill.	Improved brand perception can drive bookings among environmentally minded travelers; also potential cost savings from conservation initiatives.	Atlantis has invested in marine programming and immersive conservation experiences.	Expand renewable energy, waste minimization, and carbon footprint reduction programs; integrate sustainability more visibly in guest experience.	Resource intensity (water, energy) of large attractions is high; any failure or negative environmental PR can damage reputation.

Competitor #2

Hotel Name: Baha Mar – Nassau, Bahamas

Baha Mar is a 2,200-room integrated luxury resort complex located on Cable Beach in Nassau, approximately 10 minutes from Lynden Pindling International Airport. The development is owned by Chow Tai Fook Enterprises and includes three distinct luxury hotel brands: the Grand Hyatt (1,800 rooms), SLS Baha Mar, and the ultra-luxury Rosewood. Baha Mar features a 100,000-square-foot casino (the largest in the Caribbean), a 30,000-square-foot ESPA spa, the 15-acre Baha Bay water park, and the Jack Nicklaus designed Royal Blue Golf Course. The resort complex also offers 45+ dining, bar, and lounge experiences and over 200,000 square feet of meeting and event space. Baha Mar's scale and diversity of offerings allow it to serve a broad mix of leisure travelers, families, luxury guests, and business/conference groups. While specific occupancy figures and demographic data are not publicly available, the resort has reported over 2 million visitors per year, and official tourism reports show strong performance in the U.S. and Canadian markets. The resort has emphasized luxury positioning in its marketing and has partnered with global luxury brands to enhance its international appeal. Baha Mar operates under independent ownership with brand affiliations for each hotel component.

PRIMARY MARKET(s): Primarily U.S. travelers, with notable visitor volumes from Canada and the United Kingdom. The Grand Hyatt and SLS attract upper-middle to high-income couples, families, and event travelers, while Rosewood focuses on ultra-high-net-worth individuals. Guest demographics are likely to be in the 30–60 age range, with household incomes exceeding $ 100,000. A meaningful portion of business comes from incentive groups and meetings.

Competitive Methods	Trends Related to CM	Competitive Advantage	Estimate of Value Added	Key Innovation of the last 5 years	Expected future actions to enhance method	Vulnerabilities to exploit
Multi-brand resort cluster (Rosewood, SLS, Grand Hyatt under one property)	Travelers like choice and segmentation—offering different brand tiers under one resort lets Baha Mar appeal to diverse segments.	To compete with Atlantis, resorts must offer unique draws (waterparks, nightlife, events).	Can address luxury, lifestyle, and upper upscale segments all in one destination.	Launch of Baha Bay waterpark (15-acre), integration of world-class dining and entertainment, aligning with art and culture programming.(5)	Further brand extension, deeper segmentation (e.g. ultra-luxury villas), more tiered packages, curated experiences.	Potential service inconsistencies across brands; guests may compare brands internally and feel disparity.
Entertainment & attractions	To compete with Atlantis, resorts must offer unique draws (waterparks, nightlife, events).	With Baha Bay, casinos, and nightlife/music events, Baha Mar is trying to capture both family and entertainment-seeking segments.	The attractions drive incremental spend on admissions, entertainment, F&B, and lengthen stays.	The introduction of Baha Bay is a direct response to competing entertainment resorts.(6)	Expand event programming (festivals, concerts), tie-ins with global entertainment brands, deliver signature experiences.	Overextension risk: entertainment-heavy model increases operational complexity and cost. Some guests may prefer tranquility over constant activity.
Sustainability & community	Growing guest expectations for	Baha Mar has a stated	Better guest perception may	Implementation of supplier	Deeper investments in	Public scrutiny if sustainability

	responsible sourcing, local community impact, and sustainable operations.	sustainability policy, participates in sustainable tourism standards, and ties supplier strategy to sustainability.(7)	increase bookings from eco-conscious travelers; cost savings potential from green operations.	sustainability policies, local sourcing, and communicating sustainable features.(7)	renewable energy, waste reduction, community impact projects, coral restoration.	claims are perceived as "greenwashing." Failure to materially deliver on policies.
Culinary & retail	Luxury travelers expect high-end shopping and culinary variety.	With 45+ restaurants and high-end retail, Baha Mar offers a full-suite of luxury amenities.	Capturing guest spend on non-room items increases total revenue per stay.	Expansion of the retail footprint and elevated dining offerings.	Bring in flagship brands, rotating "pop-up" boutiques or limited edition experiences.	Competition from external high-end retailers; guests may shop off property if pricing or selection is better.

COMMENTS

Each resort holds a competitive advantage within its target market segment. Atlantis Paradise Island leads through scale and family-oriented attractions, establishing itself as a self-contained entertainment destination. Baha Mar differentiates through multi-brand segmentation and event capacity, appealing to a wide range of travelers from luxury leisure guests to corporate groups. Sandals Royal Bahamian Resort, in contrast, focuses narrowly but effectively on romance and personalized service, offering an adults-only, all-inclusive experience that emphasizes privacy and convenience.

Although the same traveler trends (luxury, experience-rich stays, and sustainability) influence all three, their strategic execution differs. The resort best able to transform its core strengths into a defensible competitive advantage will hold the most enduring position in the Bahamian luxury hospitality market.

Competitive Methods	Atlantis Paradise Island	Baha Mar	Sandals Royal Bahamian Resort
Location	Paradise Island (Connected to Nassau)	Cable Beach, Nassau	Cable Beach, Nassau
Sustainability	Marine conservation leader (Dolphin Cay, ocean research)	Follower - supplier sustainability policies and local sourcing	Follower - Sandals Foundation programs in community and coral restoration
Meeting & Event Space	60,000+ S.F. (major conference capacity)	200,000+ S.F. (largest in Bahamas)	Limited to primarily weddings and private events
Dining & F&B Variety	40+ restaurants and lounges	45+ restaurants, retail, and nightlife	10 restaurants and 8 bars (all-inclusive)
Service Style	Traditional luxury with broad guest mix	Branded luxury segmentation (Hyatt, SLS, Rosewood)	Personalized butler-level, couples-only all-inclusive

(1) https://www.travelmarketreport.com/hotels-resorts/articles/atlantis-paradise-island-reveals-new-attractions-dining-and-entertainment
(2) https://www.alhi.com/blog/post/whats-new-at-atlantis-paradise-island/
(3) https://www.cntraveler.com/hotels/paradise-island/atlantis-paradise-island-bahamas
(4) https://www.travelmarketreport.com/hotels-resorts/articles/atlantis-paradise-island-reveals-new-attractions-dining-and-entertainment
(5) https://bahamar.com/
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Regulators (Daria)

Name	Description of Regulator
MOTIA: Ministry of Tourism, Investments & Aviation	MOTIA is the Bahamian government body responsible for promoting tourism, attracting investment, and overseeing aviation in The Bahamas. MOTIA oversees hotel licensing, tourism standards, and investment approvals to ensure that resorts operate responsibly and contribute to the nation's economic growth. The Ministry also works with international partners to maintain The Bahamas' image as a premier luxury destination while encouraging sustainable tourism and community development. **Trends:** MOTIA has transitioned from focusing mainly on mass tourism and visitor volume to emphasizing sustainable, high-end tourism development. The Ministry now promotes eco-friendly resort operations, luxury travel experiences, and stronger community engagement to enhance the country's global reputation Before this shift, MOTIA's focus (especially in the 1990s-2010s) was mainly on increasing visitor arrivals and boosting mass tourism, attracting as many tourists as possible, mostly from the U.S., through large-scale resort projects, cruise partnerships, and all-inclusive models. Now, the trend has evolved toward quality over quantity **Impact:** Compliance with MOTIA regulations allows Sandals Royal

	Bahamian to qualify for government-backed incentives, such as import duty reductions and tax benefits, through collaboration with the Ministry of Finance. While stricter regulations raise reporting demands and operational costs, alignment with MOTIA policies strengthens Sandals' reputation as a sustainable luxury resort and supports continued growth within the Bahamian market.

Substitute (Leyanes)

Name	Description of Regulator
Cruise ships	Cruise ships can be seen as substitutes for the Sandals Resort because they cater to the same market of travelers looking for a luxurious getaway. Both options offer all-inclusive packages that cover accommodations, meals, entertainment, and activities for a single price, aligning closely with Sandals' model. However, cruise ships differentiate themselves by allowing guests to visit multiple destinations within one trip, offering a diverse range of experiences that Sandals cannot provide. **Trends:** One of the trends making cruises a substitute for Sandals Resorts is the significant growth in cruise tourism in the Bahamas. In 2024, the Bahamas welcomed a record **9.4 million cruise passengers, marking a 20.3% increase over the previous year.** This growth continues a consistent trend, as the port of Nassau also set a record by accommodating 5.6 million passengers in 2024, up from 4.4 million in 2023 and 3.2 million

	in 2022. Moreover, according to the Prime Minister of the Bahamas, Philip Davis, **cruise passengers represented a substantial 83.4% of total tourist arrivals** to the islands in 2024, a trend expected to continue growing in the coming years. In addition, recent advancements in the cruise industry underscore significant financial commitments driving development. Notably, **Carnival is investing $600 million in the Celebration Cay project** located in Grand Bahama, which is set to open in July 2025 and is expected to attract up to **4 million travelers by 2028**. **Royal Caribbean and MSC Cruises are also contributing $80 million towards a project in Freeport** that is expected to open by the end of this year. Lastly, Nassau, the city with the port that receives more than half the yearly travelers alone, is continuously upgrading its facilities and establishing new attractions. The anticipated **Royal Beach Club on Paradise Island** is expected to significantly increase visitor numbers in the future. **Impact:** The growth of the cruise ship industry and its new developments are creating direct competition for Sandals Resorts. This competition could potentially divert **5–15% of its target customers**, forcing the hotel to **lower room rates by 2–5%** to remain competitive. As a result, Sandals Resorts may experience an overall **revenue decline of about 7–20%.** To counter this challenge, Sandals may need to increase its marketing expenses by 1–3% of revenues and invest more in property upgrades and enhancing guest experiences. These actions would raise operating costs and could reduce profit margins by 1–3 percentage points. Overall, the rise of cruise tourism in the Bahamas poses a significant financial threat to Sandals Resorts, potentially **lowering its operating profit by 10–25%** if current

	trends continue.

Suppliers Analysis (Salem)

Name	Number of Units in Geographic Area	Brief Description of Products and Services Offered. What Are the Key Trends You Have Observed for Each Major Supplier and How They Will Affect Your Firm/Destination.
CIBC Caribbean Bank	1	**Description:** As a regional financial partner, CIBC FirstCaribbean arranges loans and provides banking services for Sandals Resorts International's capital projects, such as resort expansions and renovations in the Caribbean, with direct support for Bahamian properties through lending and advisory roles. This is a good supplier for us because their expertise in regional financing ensures tailored solutions for our luxury expansions, like the $55 million renovation, and their green loan options align with our sustainability goals. They also serve competitors like Baha Mar, offering similar financing, which means we benefit from their established network but must compete for favorable terms. Their presence across the Caribbean provides stability and access to capital, crucial for our growth in a volatile market. **Trends:** Trends include the rise of sustainable and digital financing in tourism, with Caribbean banks projecting a 15% growth in green loans by 2027, which could lower borrowing costs for SRI's eco-projects but require compliance investments. **Impact:**

		Financing fees and interest may add $750,000 to annual capital costs for expansions (below the line), but access to green loans could reduce borrowing rates by 10% ($300,000 savings) and enable 7% revenue growth ($1.7 million) from new facilities (above the line). These numbers are based on a $24 million revenue baseline. **Example - Sandals Royal Curaçao**: SRI partnered with CIBC FirstCaribbean for financing a 350-room expansion, enabling efficient capital access that supported regional growth and operational stability
Human Resources Solutions Group (HRSG)	1	**Description:** HRSG specializes in executive recruitment, preliminary interviews, reference checks, and immigration services for work permits, sourcing talent for hospitality roles like management and operations staff in Bahamian resorts. This makes them an excellent supplier for us because their local knowledge and immigration support help us quickly fill skilled positions, especially during peak seasons, ensuring high service quality for our 404-room property. They also work with competitors like Atlantis Paradise Island, which keeps their expertise broad but requires us to stand out in talent retention strategies. Their focus on efficiency supports our need for a reliable workforce amid regional labor shortages. **Trends:** A major trend is addressing labor shortages in Bahamian tourism through outsourced recruitment, with forecasts predicting a 25% increase in foreign talent demand by 2027 due to post-pandemic recovery, potentially increasing hiring efficiency but raising immigration-related costs for SRI. **Impact:** Recruitment and immigration services may increase HR costs by $250,000 annually due to talent shortages (below the line), but efficient staffing could lower turnover by 15% ($450,000 savings) and boost revenues by 5% ($1.2 million) through improved service quality (above the line) **Example - Cacique International (Bahamian Hospitality Firm)**:

		Cacique used HRSG for executive recruitment, streamlining talent acquisition with immigration support, reducing hiring time by 20% and improving staff performance
Sysco - Bahamas Food Services (BFS)	1	**Description:** Sandals Royal Bahamian Resort collaborates with Sysco - Bahamas Food Services, which delivers fresh seafood such as conch and lobster, alongside tropical fruits like mangoes and bananas, focusing on sustainable, locally sourced ingredients for the resort's 10 gourmet restaurants. This is a great supplier for us because their emphasis on local and sustainable products enhances our eco-friendly brand image and meets the demand for authentic Bahamian cuisine, appealing to our affluent guests. **Trends:** A key trend is the growing demand for sustainable sourcing, with 70% of tourists preferring eco-friendly options according to the 2025 Caribbean Tourism Organization report on sustainable transformation. Future forecasts suggest a 15% increase in local farming output by 2027, driven by government subsidies, which could reduce SRI's costs by 5-10% annually. **Impact:** The shift to sustainable sourcing may increase raw material costs by $500,000 annually due to higher local producer prices (below the line). However, it could boost revenues by 5% ($1.2 million) through enhanced guest satisfaction and loyalty (above the line), aligning with the Bahamas' 3.2% GDP growth in tourism. **Example - Atlantis Paradise Island**: Atlantis partnered with local seafood suppliers through the Atlantis Blue Project Foundation, establishing 1.5 million acres of Marine Protected Areas, reducing costs by 7% over two years while increasing bookings by 10% through sustainability marketing.
Bahamas Power and Light (BPL)	1	**Description:** The primary provider BPL provides electricity. Their services include outage management and efficiency audits to minimize disruptions during peak tourist seasons. **Trends:**

		Renewable energy integration is accelerating, with the Bahamas' hospitality sector facing 1.8% GDP growth in 2025 amid rising energy costs; forecasts predict a 10% shift to solar/diesel hybrids by 2027, potentially stabilizing rates but requiring $500,000 in on-site adaptations for SRI. **Impact:** Potential rate hikes from fossil fuel dependency could add $400,000 to energy costs (below the line), but renewable transitions may yield 7% efficiency gains ($250,000 savings) and support a 4% revenue uplift ($960,000) via eco-certifications attracting premium guests (above the line) **Example - Baha Mar:** Baha Mar collaborated with Bahamas Power and Light (BPL) on renewable energy initiatives, including solar microgrids and battery storage systems as part of the Reconstruction with Resilience program, reducing fossil fuel consumption by 20% and saving approximately $1 million annually in energy costs while enhancing grid reliability for resort operations
BTC (Bahamas Telecommunications Company)	1	**Description:** BTC offers high-speed wireless internet services for resorts, including WiFi coverage in rooms and public areas. Operating as a primary provider in Nassau, they ensure reliable connectivity for daily operations and digital services. **Trends:** The primary trend is the shift toward 5G networks and high-speed internet, with an expected 30% increase in demand for advanced WiFi in the hospitality sector by 2027, which could enhance guest experiences but requires upgrade investments. **Impact:** Costs for high-speed WiFi subscriptions may increase by approximately $150,000 annually for full coverage (below the line), but improved connectivity could boost revenues by 6% ($1.4

		million) through higher ratings and attracting guests (above the line). **Example Atlantis Paradise Island:** Atlantis utilized BTC's WiFi services in public areas, enhancing guest connectivity and increasing ratings by 12%, with operational costs 5% lower compared to other providers
New Providence Water Corporation (NPWC)	1	**Description:** NPWC manages water production, supplying treated water for drinking, pools, and sanitation in Nassau resorts. Services include metering, leak detection, and emergency supply to maintain uninterrupted operations. **Trend:** A key trend is the increasing reliance on sustainable desalination amid climate pressures, with forecasts indicating a 20% expansion in reverse osmosis capacity by 2027 to meet tourism demand, potentially raising rates by 5% but improving reliability for SRI. **Impact:** Expanding desalination may increase water tariffs by $200,000 annually for high-volume resort use (below the line), but reliable supply could enhance guest amenities and drive a 4% revenue increase ($960,000) through positive reviews and eco-tourism appeal (above the line). **Example Baha Mar:** Baha Mar collaborates with NPWC for water supply, implementing rainwater harvesting to offset costs by 8% while promoting sustainability, leading to a 5% uptick in eco-conscious bookings

Competitive Methods

The Value Adding Manager

Executive Summary

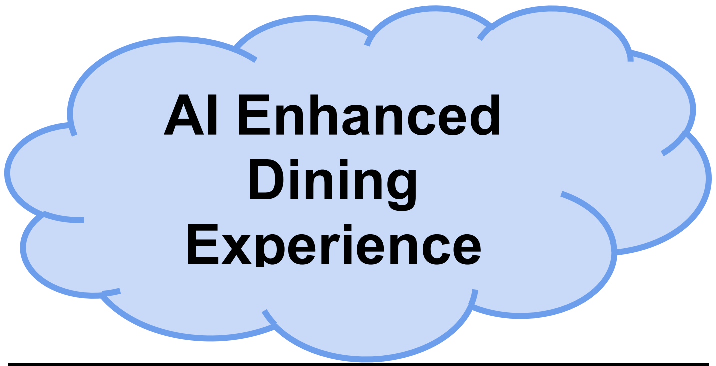
The AI-Enhanced Dining Experience redefines how guests enjoy food and beverage service at Sandals Royal Bahamian. From pre-check-in to poolside, guests can create personalized dining profiles, note allergies, and choose preferred meal styles through an interactive platform. Using this data, the system tailors' menus and coordinates with guest services, restaurants, and bars to anticipate every need.

Once on property, QR codes placed throughout the resort allow guests to explore menus, place orders, and track their meals in real time whether they're lounging by the beach, at the pool, or in their room. This makes dining simple, fast, and personal while keeping the experience luxurious and relaxed.

For Sandals, this method delivers substantial operational and financial gains. Personalized upselling is expected to increase revenue by 8–10%, while automation is expected to reduce labor costs by 12–15%. The estimated investment of US $280,000 should generate over US $2 million in net gains within five years, with a projected lifespan of five to seven years before major updates are needed.

By merging technology with hospitality, this initiative strengthens Sandals' reputation as a Caribbean leader in innovative, guest-focused innovation, creating experiences that feel effortless, personal, and memorable.

Competitive Method # 1



Product Description - Kimecha

The AI-Enhanced Dining Experience is designed to change how guests interact with food and beverage services at Sandals Royal Bahamian. From pre-check-in, guests will use an interactive dining interface to select meal preferences, note allergies, and choose dining styles that suit their stay. Artificial intelligence will analyze this data to create a personalized dining profile and automatically coordinate with guest services, the front desk, and the culinary and bar teams.

Throughout the property, guests will see elegantly designed QR codes at restaurants, pool cabanas, lounges, and even along the beach. Scanning these codes will open location-specific menus that suggest nearby dining options or enable direct ordering from the table or lounge chair. Each code will have a unique identifier so guests can monitor their order's progress from kitchen to delivery using a live tracker similar to Domino's Pizza. This approach improves convenience, enhances personalization, and creates a smooth connection between guest expectations and service. It makes dining at Sandals feel effortless, smart, and entirely guest-focused.

This method has already proved successful in similar upscale environments:

Hotel AKA (United States). At properties like **Hotel AKA Brickell**, QR-based digital ordering has enhanced the dining experience across restaurants, in-room dining, and lounge areas. Guests scan a QR code, specify dietary preferences, and have meals delivered directly to their table or room. The hotel reports faster table turnover and greater accuracy in special-diet orders.

Pei Wei – Tampa International Airport, Florida. At Pei Wei's airport location, QR codes on tabletops let travelers browse menus, order food, pay securely, and receive meals directly at their seats. This reduces wait times and minimizes server dependency, especially during busy travel periods.

Domino's Pizza (Global)- Though not part of the hospitality sector, Domino's pioneered real-time order tracking. Studies indicate that customers are more satisfied and file fewer complaints when they can visually track the progress of their order. These examples highlight the advantages of technology in the task environment: it reduces labor demands, increases efficiency, and enhances guest independence. Moreover, trends in the external environment, such as shifts in consumer behavior, labor shortages, and a post-pandemic preference for contactless services, indicate that guests favor high-tech, seamless, self-serve dining options.

For Sandals, this goes beyond mere convenience; it enhances personalization. The AI-enhanced dining experience improves service quality, reduces order errors, and increases guest satisfaction, while providing Sandals with valuable insights into guest preferences. This positions Sandals Royal Bahamian as a leader in data-driven, luxury hospitality.

This approach works for the Sandals' brand as it reinforces the Sandal's promise of a Luxury Included®, by giving guests control, convenience, and personalization, while also helping Sandals increase F&B revenue, reduce labor gaps, and strengthen brand loyalty.

Table Outlining Examples / Comparatives Showing Proven Success

Evidence from QR-enabled hotels and restaurants shows that digital dining simplifies the ordering experience and encourages spontaneous purchases. Virgin Voyages saw measurable increases in F&B spend after adopting an app-driven dining model they attribute this to frictionless service.

Business	Technology Used	Outcome / Proof
Hotel AKA (Brickell, Miami)	QR dining and direct ordering to kitchen	Increased lounge dining participation and faster service delivery
Pei Wei – Tampa Airport	QR ordering & payment via tabletop signage	Higher transaction volume per table due to reduced wait time
Domino's Pizza Tracker (Global)	Live order tracking system	50% customer satisfaction improvement due to transparency (Domino's Annual Report)
Virgin Voyages (Cruise Line)	App-based dining reservations and ordering	Eliminated dining waitlists; significantly improved personalization
IHG + Hilton QR adoption (2023–2025)	QR for poolside F&B at resorts	Faster order-to-delivery time; increased pool bar revenue

Description of Key Customer Services Provided - Kimecha

This new competitive method improves every dining touchpoint across the property. Guests can pre-select their meals and preferences before arriving, making check-ins smoother and reducing repetitive meal questions. Once on-site, they can explore the entire dining menu using personalized, AI-powered options accessible via QR codes throughout the resort. Each menu provides real-time recommendations based on the guest's preferences, location, and time of day. The technology also enables:

- Contactless and cashless ordering with integrated payment systems which can also be used for spa add ons such as fruits and champagne which are a carte add ons and not a part of the resorts all-inclusive menus.
- Live order tracking and meal preparation notifications.
- Dietary and allergy prompt that automatically filter menu options.
- Upselling suggestions like drink pairings, appetizers, and desserts.

Together, these features elevate the dining experience combining convenience, personalization, and premium service.

Cause and Effect Relationship - Kimecha

The global shift toward AI, automation, and contactless service has already redefined hospitality expectations and reshaped competitive advantage. According to Oracle Hospitality (2025) and J.D. Power (2025), more than 96% of hotels worldwide are adopting mobile and contactless technologies. Skift (2024) projects a 20% annual growth in AI-assisted dining and service personalization. In the remote environment, changing consumer behavior is accelerating this demand; customers are increasingly seeking economical, efficient, and modern service experiences that minimize friction while maximizing personalization. In the task environment, competitive pressure and technology availability are forcing hospitality brands to innovate or risk becoming outdated.

Guests now prefer smart, low-touch but high-service interactions, not because they want less hospitality, but because they expect convenience to be paired with personalization. Research shows that travelers favor brands that use technology to make the experience feel intuitive rather than transactional. By integrating a pre-arrival digital dining selection process with real-time, QR-based ordering at the restaurants, Sandals can leverage guest data insights to anticipate needs, reduce order errors, accelerate service delivery, and increase engagement.

The outcome is a dining ecosystem that enhances satisfaction, streamlines operations, and increases repeat visits, strengthening brand loyalty and competitive positioning.

Benefits produced by competitive methods to the guest - Kimecha

Guests will experience a more relaxed and effortless dining journey. From their first digital interaction, the process feels thoughtful, anticipatory, and modern. Meals arrive faster, menus feel personal, and every interaction carries a sense of ease. The ability to track orders in real time, receive tailored recommendations, and dine from anywhere on the property gives guests a sense of control and exclusivity. It also aligns with evolving post-pandemic travel behaviors that favor contactless but highly personalized experiences. In essence, this innovation removes inconvenience while keeping the warmth of hospitality intact.

Benefits produced by competitive methods to the firm - Yas

For Sandals, this method offers tangible financial and operational gains. Personalized dining recommendations are expected to raise the average guest check by **8–10%**, while QR-based automation reduces front-of-house labor costs by **12–15%**. The system also provides real-time data on menu popularity, food waste, and guest behavior allowing managers to forecast demand and optimize purchasing. Beyond profitability, this strategy reinforces Sandals' identity as an innovator in Caribbean hospitality. It positions the brand one step ahead of competitors in creating AI-driven, guest-first experiences that marry technology with service excellence.

Risks and Concerns - Yas

Potential risks include system downtime, Wi-Fi disruptions, or discomfort among less tech-savvy guests. There are also privacy and data-protection responsibilities tied to collecting and storing guest dining preferences. These can be mitigated through:

Risks/Concern	Likelihood	Impact	Mitigation Strategy
System Downtime/ WIFI Interruption	Medium	High orders cannot be processed	Property wide WIFI boosters in high traffic zone
Guest discomfort	Medium	Medium to slower adoption, lower usage	White glove ordering assistance service from staff and request the option to have printed menus upon check in.
Data Privacy	Low	High legal implications	GDR Compliance Limit Stored data to preferences as opposed to identification.

Integration with POS	Medium	Medium	Pilot Rollout Vendor led POS integration testing.

The risks are manageable and expected during technology adoption. Similar hotel openings that shifted to QR dining (Hotel AKA Brickell, Hilton properties, and Virgin Voyages) showed that adoption improves dramatically when staff serve as *guides,* not replacements.

While upfront investment is estimated at **US $280,000**, the system's long-term efficiency and revenue returns justify the cost as shown below.

Expense Category	Description	Estimated Cost (US $)
AI software subscription & licensing	Integration with POS + menu personalization	$90,000
Custom development (interfaces, QR dining portal, live tracker dashboard)	UI design, system development, testing	$75,000
Hardware	QR plaques, NFC-enabled tags, tablets for servers	$40,000
POS integration & data sync	Micros/Oracle integration + API	$30,000
Wi-Fi infrastructure upgrade	boosters & access points for beachfront and pool zones	$25,000
Training & change management	4 weeks staff onboarding & shadowing	$20,000

Ongoing operating expenses will be approximately $150,000.00- $180,000.00.

Revenue will be generated by the system through four direct ways:

1. **Upselling via AI recommendations**
    - When guests scan a QR code, AI suggests *premium add-ons*: wines, appetizers, paid romance dining experiences.
    - Hotels using QR plus AI order suggestions report 15–22% check-size increases (Oracle Hospitality Report, 2024).
2. **Reduced service wait time leads to higher table turnover**
    - Faster ordering equals more covers per night at peak restaurants.
3. **Fewer order errors**
    - Reduces comps and waste; improves food cost control.
4. **Increased food-and-beverage participation**
    - Guests order more often when they don't need to wait for staff.

Estimate life span of New CM - Yas

Competitive Method	Implementation Period	Market Lead Time	Set-Up Time	Estimated Life Span
AI-Enhanced Dining Experience	Year 1 pilot across two restaurants and one pool bar	1–2 years ahead of competing Caribbean all-inclusive brands	4 months (AI training, QR mapping, POS sync)	5–7 years before a full software refresh or upgrade

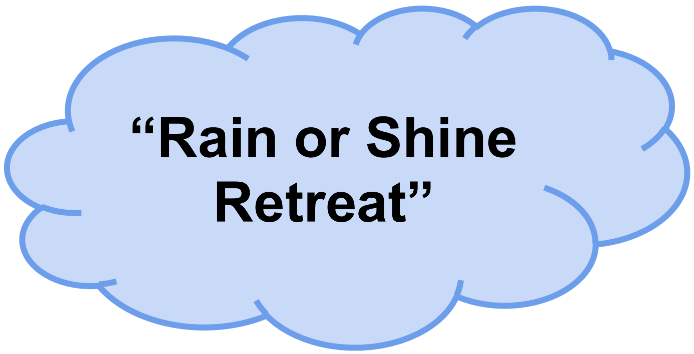
Revenue Operating Expenses - Yas

Year	Revenue Increase (US $)	Operating Expenses (US $)	Net Gain (US $)
1	+420,000	280,000	+140,000
2	+525,000	150,000	+375,000
3	+610,000	160,000	+450,000
4	+670,000	175,000	+495,000
5	+740,000	180,000	+560,000

Assumptions

- F&B base revenue at Sandals Royal Bahamian ≈ US $12M annually
- Upselling impact from AI dining = 8% revenue lift (Year 1–3), 5% thereafter
- Increased table turnover due to faster order entry
- Reduced waste and comps from fewer errors (1.5–2% cost savings).

Competitive Method # 2



Product Description- Leyanes

When bad weather restricts access to Sandals Barefoot Cay, many guests feel disappointed about paying for a premium all-inclusive package while being unable to fully enjoy the island experience. To address this concern, Sandals could introduce a program called the **"Rain or Shine Retreat."** This program aims to convey that the fun continues even in adverse weather by highlighting on-site amenities that allow guests to feel as though they are experiencing the island. Participation in the Rain or Shine Retreat would be reserved for guests who had paid for access to Barefoot Cay but were unable to visit due to weather conditions, ensuring they still receive a premium and memorable experience.

The first step in implementing this program would involve transforming part of the oceanfront lounge or pool deck into a tropical retreat zone featuring island décor, ambient lighting, and curated music. Additionally, there would be a variety of tasting stations offering island-inspired cocktails, fresh seafood, and tropical fruit platters. The retreat would also include mini spa cabanas or foot massage stations for couples, managed by Red Lane spa staff. In the future, this program could expand based on a detailed assessment of guest experiences, which could be conducted through online surveys to identify the island amenities that guests value most. This feedback will help determine suitable on-site alternatives that match or exceed that level of luxury.

Description of Key Customer Services Provided- Leyanes

Decorations and Music

To recreate the tropical ambiance of *Barefoot Cay*, the oceanfront lounge or pool deck would be transformed into a vibrant indoor island escape.

- The space would feature lush palm décor, floral arrangements, tiki lighting, and projection visuals of ocean waves and sunsets to simulate the island setting.
- Soft ambient lighting and candle-lit pathways would create a warm, romantic atmosphere for couples.

- A local Bahamian DJ or live acoustic band would perform island rhythms such as Junkanoo, reggae, and calypso, giving guests the lively energy of the Cay even while staying at the main resort.

Food and Beverage

The *Rain or Shine Retreat* would feature themed culinary stations and interactive dining experiences inspired by the tastes of The Bahamas.

- Guests could visit island-inspired tasting stations offering fresh seafood, tropical fruit platters, conch fritters, and grilled delicacies prepared by local chefs.
- Mixology stations would invite guests to watch bartenders create signature Bahamian cocktails such as the Goombay Smash, Bahama Mama, and Pineapple Mojito.
- A Chef's Showcase Table could highlight local ingredients and cooking traditions, turning dining into a cultural learning experience.
- For an added luxury touch, guests could receive personalized butler service delivering cocktails or tasting platters directly to their lounge seating.

Relaxation

Even without access to Barefoot Cay, guests can indulge in personalized relaxation experiences designed to reflect the serenity of the island.

- Mini spa cabanas would be set up near the transformed pool deck or ocean lounge area, offering quick relaxation services such as foot massages, scalp treatments, and hand exfoliations.
- Wellness attendants would circulate the lounge offering cooling towels, essential-oil spritzers, and fruit-infused water to enhance comfort.

Photo Stations

- A themed photo booth with island props and backdrops allows couples to capture memories even when they can’t visit Barefoot Cay.

Cause and Effect Relationship - Leyanes

Trend: Rising Global Temperatures

Rising global temperatures are increasingly impacting the Caribbean, resulting in intensified storms and heavy rainfall. Forecasts from the National Oceanic and Atmospheric Administration (NOAA) project that the Atlantic region will see an alarming 13 to 19 named storms and several hurricanes each year (page 4-6). This trend significantly raises the risk of adverse weather conditions in The Bahamas. Consequently, Sandals Royal Bahamian often has to suspend ferry service to Barefoot Cay, which diminishes guest satisfaction as visitors feel they are not receiving the full value of their experience. This pattern of frequent service interruptions can lead to negative reviews, potentially reducing repeat bookings by up to 15% and causing short-term revenue losses of 5 to 10% (HospitalityNet, 2023).

To mitigate these growing challenges, Sandals can adopt the “Rain or Shine Retreat” Competitive Method. This strategy aims to safeguard 7 to 10% of potential lost revenue during weather-related closures while also reducing negative reviews and boosting brand loyalty. In doing so, Sandals can reinforce its reputation as an adaptive, guest-centered resort that consistently delivers exceptional value, regardless of the changing weather patterns.

Benefits produced by competitive methods to the guest- Daria

The "Rain or Shine Retreat" offers numerous benefits to guests. First, this program provides a consistent luxury experience regardless of the weather, significantly reducing disappointment and stress while increasing trust and loyalty toward the property, as their needs are valued and anticipated. With the integration of this initiative, guests can be assured they are receiving full value for their payment. The indoor amenities, including tropical décor, live Bahamian music, and spa cabanas, create a relaxing and immersive island atmosphere. Additionally, the butler service, Red Lane Spa treatments, and curated experiences make guests feel cared for and prioritized. Furthermore, by featuring local chefs, music, and themed events, guests can enjoy memorable and shareable experiences that highlight the authentic Bahamian culture and cuisine in an intimate setting. In conclusion, the retreat fosters new photo-worthy moments and stories that guests can share on social media, strengthening their emotional connection with the brand.

Benefits produced by competitive methods to the firm - Daria

The "Rain or Shine Retreat" competitive method offers several benefits to Sandals Royal Bahamian Resort. First, it helps reduce revenue losses from weather-related disruptions, potentially safeguarding 7-10% of income during bad weather days by converting disappointed guests into satisfied ones through on-site alternatives. This can improve occupancy rates by 5%, as guests are less likely to cancel or leave negative reviews, leading to better online ratings and repeat bookings. Operationally, the program optimizes resource use by repurposing existing spaces like lounges and pools, minimizing additional costs while boosting internal spending on food, drinks, and spa services by 8-12% through upselling. Additionally, it enhances the resort's brand as resilient and guest-focused, aligning with sustainability trends and attracting eco-conscious travelers, which could increase overall market share by 3-5% in the competitive Nassau segment. Finally, data from guest feedback surveys integrated into the program provides valuable insights for future improvements, supporting long-term profitability and innovation.

Risks and Concerns - Salem

Implementing the "Rain or Shine Retreat" carries some risks and concerns. One major risk is the initial setup cost, estimated at $150,000 for decorations, music equipment, and staff training, which could strain budgets if weather disruptions are less frequent than expected. Operational challenges include staff overload during bad weather, potentially leading to service quality drops if not enough employees are available, risking guest dissatisfaction and negative reviews. Dependence on the weather forecast system adds uncertainty. If forecasts were inaccurate, the program might activate unnecessarily, and waste resources or confuse guests. Privacy concerns could arise from collecting feedback via surveys, requiring compliance with data protection laws to avoid legal issues. Additionally, if competitors like Atlantis or Baha Mar adopt similar programs, it could reduce our unique selling point, shortening the CM's lifespan. To mitigate these, we can conduct pilot tests, train versatile staff, and partner with reliable weather apps for accurate predictions.

Estimate life span of New CM - Salem

Competitive Method	Implementation Period	Market Lead Time	Set-Up Time	Estimated Life Span
Rain or Shine Retreat	6 months (Q1 2026: modular kit procurement, staff procurement, staff cross-training, weather API integration).	1–2 years ahead of competing all-inclusive brands (Atlantis/Baha Mar lack private-island exclusivity to replicate)	2 hours per activation (pre-staged décor kits, auto-trigger via BTC weather API)	5–7 years before a full refresh or competitor saturation (NOAA storm frequency sustains relevance through 2032; AI weather tech may reduce need post-2033)

Case Studies:

- <u>*Edgewater Hotel (Madeline Creek, Washington):*</u>

  The hotel partners with REI to offer outdoor gear rentals and indoor alternatives like local games or art exhibits during rainy weather, reducing cancellations by 20% and increasing ratings by 15%.

- <u>*Pelican Grand (Florida):*</u>

  Offers indoor activities such as kids' clubs and nearby shopping tours during storms, maintaining 85% of revenue and increasing loyalty by 12% through digital marketing of "indoor retreats."

- <u>*Noble House Hotels & Resorts (luxury hotel group, Caribbean and U.S.):*</u>

  "Weather Guarantee™" program provides weather assurances with indoor alternatives like spa sessions and cultural activities, increasing direct bookings by 2% and booking conversions by 3–19%.

These sources are backed by quantitative data (such as cancellation and booking rates) from Sensible Weather reports, which rely on real studies of 400,000 weather guarantees sold in 2024.

Revenue Operating Expenses - Salem

Period	Change in Revenues	Less Change in Operating Expenses	Equals Profits/Losses
Year 1	$100,000 (from early upselling during pilots)	$200,000 (setup costs for decorations , training, and marketing)	(-$100,000)
Year 2	$500,000 (5% occupancy boost + 8% internal spending)	$135,000 (staff, materials, and marketing)	$365,000
Year 3	$600,000 (10% repeat bookings increase)	$155,000 (maintenance, updates and marketing)	$445,000
Year 4	$550,000 (sustained demand)	$145,000 (ongoing operations and marketing)	$405,000
Year 5	$500,000 (maturing phase)	$130,000	$370,000
Year 6	$450,000 (slight decline if competitors adopt)	$120,000	$330,000

Year 7	$400,000 (end of lifecycle)	$110,000	$290,000

Marketing Cost Explanation: Marketing costs for promoting the “Rain or Shine Retreat” are estimated at $50,000 in the first year and $30,000–$40,000 annually thereafter, representing approximately 2–3% of Sandals Royal Bahamian’s total marketing budget. These funds cover digital advertising (60%), local partnerships and influencer collaborations (25%), and internal materials and signage (15%). According to the Sensible Weather Case Study (2025) and Booking.com ROI Analysis (2018), programs of this type deliver an average return of up to $16 for every dollar spent, with 3–19% increases in bookings during adverse weather periods.

Assumptions: Revenue baseline $10M for F&B/internal spending; 5-10% uplift from program (based on similar weather-adaptive programs in Caribbean resorts per HospitalityNet, 2023). Expenses include $150K initial + 10% annual maintenance. Profits calculated as revenues minus expenses, with 3% inflation adjustment.

Core Competencies

The Value Adding Manager

Executive Summary

This stage of the strategic analysis evaluates the alignment between Sandals Royal Bahamian's competitive methods and core competencies. To sustain long-term competitive advantage in the luxury all-inclusive market, the resort must allocate resources to the methods that produce the greatest value, supported by strong underlying capabilities. A Functional Framework Analysis across seven management areas shows that most of the resort's core competencies perform at or above competitive benchmarks, particularly in operations, human resources, and administration, reflecting strong leadership and effective resource management. However, technology management remains behind industry trends and requires targeted investment to meet evolving guest expectations and operational demands.

As the strategic planning process concludes, the co-alignment model highlights how well the resort's core competencies can support its recommended competitive methods. Feedback from both the project group and executive leadership indicates overall satisfaction with the framework, though the gap in technology capabilities presents a key limitation. Strengthening this area is essential as the industry shifts toward digital integration, sustainability, and personalized guest experiences, all of which are increasingly central to competitive success.

The model ultimately shows that Sandals Royal Bahamian must enhance its technological competencies to fully support future strategic initiatives and achieve sustainable competitive advantage. By reinforcing these capabilities while continuing to leverage its strong operational and human resource foundations, the resort can position itself for long-term growth, innovation, and leadership within the evolving Caribbean luxury hospitality market.

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Functional Framework Analysis

US
THEM
BOTH

Finance (Salem)

Resource Allocation: **12%**

Sub-Category	Rating (1-10)
Finance	1-2-3-4-5-6-7-8-9-10
Capital budgeting	1-2-3-4-5-6-7-8-9-10
Financial control	1-2-3-4-5-6-7-8-9-10

Marketing (Salem)

Resource Allocation: **10%**

Sub-Category	Rating (1-10)
Marketing	1-2-3-4-5-6-7-8-9-10

Product development	1-2-3-4-5-6-7-8-9-10
Marketing research	1-2-3-4-5-6-7-8-9-10
Social Networks	1-2-3-4-5-6-7-8-9-10

The evaluation of Sandals Royal Bahamian's finance and marketing competencies indicates strong overall capabilities, but reveals several gaps that limit the resort's strategic effectiveness. In finance, the executives consistently rated the resort higher than our group, particularly in financial control (9 vs. 7), suggesting a managerial belief in stronger cost-monitoring systems than what external benchmarking and operational realities in Nassau support. Our lower ratings reflect known regional challenges such as high utility and labor costs, supply chain volatility, and the complexity of cost control in all-inclusive resorts. In contrast, both groups aligned partially on capital budgeting, recognizing Sandals' stable investment capacity but acknowledging limits compared with large publicly traded hotel brands. In marketing, similar discrepancies emerged: executives rated overall marketing, research, and social media higher than our group (mostly 9's vs. our 7–8), while both sides agreed equally on the resort's strength in product development (shared rating of 8). These gaps likely stem from the executives' internal perspective, emphasizing brand reputation and historical success, while our assessment relies on external comparisons showing that competitors like Atlantis and Baha Mar invest more heavily in data-driven marketing and digital engagement. Overall, the key improvements needed include enhancing financial control mechanisms, expanding market research capabilities, and modernizing digital marketing and social media strategies to better support Sandals' competitive methods and future growth.

Human Resources (Daria)

Resource Allocation: **10%**

Sub-Category	Rating (1-10)
Hiring	1-2-3-4-5-6-7-8-9-10

Developing	1-2-3-4-5-6-7-8-9-10
Compensating	1-2-3-4-5-6-7-8-9-10
Leading	1-2-3-4-5-6-7-8-9-10
Educating	1-2-3-4-5-6-7-8-9-10

The evaluation of the Human Resources core competencies at Sandals Royal Bahamian shows that HR is one of the resort's strongest functional areas, with most assessments aligning closely between our group and the executive team. Based on the HR Manager's evaluation, the Human Resources function was ranked as the second-highest area in terms of resource allocation, reflecting the resort's belief that its competitive advantage is built directly on its people. As she stated, "The focus must always be on the staff," emphasizing Sandals' philosophy of hiring for attitude and training for skill. Recruiting and hiring received exceptionally high ratings due to the resort's strong partnerships with local talent pipelines in Nassau and its ongoing recruitment events. The HR Manager explained that "skills we can teach, attitude we cannot," underscoring the importance of selecting individuals who embody the brand's values.

Training and development were also identified as core strengths. New employees begin their onboarding immediately with a thorough orientation process, and many advance their skills through Sandals Corporate University, a six-week hospitality training program where participants gain specialized competencies in areas such as Concierge, Food & Beverage, and Housekeeping. The HR Manager described this process as "sandalizing" new hires, which means immersing them in the service culture that defines the brand. Employee engagement further reinforces the resort's strong HR foundation, supported by recognition programs, wellness initiatives, and staff events designed to maintain high morale. "When our staff feels supported, guests feel it immediately," she explained, highlighting the connection between employee satisfaction and guest experience.

Leadership within the HR function was also noted as an area of strength, with supervisors receiving continual coaching in conflict resolution, motivation, and communication. Performance standards remain high across all departments, with daily briefings and hands-on service recovery training ensuring consistency in the luxury service Sandals is known for. These operational commitments are reflected in the scoring: both parties rated hiring and developing a 9, acknowledging the strong recruitment systems and robust training culture. Differences emerged in compensating, where our group rated the function slightly lower (8 vs. 9), noting Nassau's high cost of living and retention challenges in the Caribbean hospitality sector. For leading, our group scored the function higher (9 vs.

8), influenced by the leadership coaching and team-motivation strategies emphasized during the HR interview. Executives, however, rated educating slightly higher (10 vs. 9), reflecting their confidence in the depth and impact of the corporate training programs.

Overall, the analysis confirms that Human Resources is one of Sandals Royal Bahamian's most valuable core competencies. Continued investment in compensation strategies, leadership development pathways, and employee engagement initiatives will strengthen long-term retention and help sustain the high service standards that define the Sandals brand.

Administration (Kimecha)

Resource Allocation: **10%**

Sub-Category	Rating (1-10)
Planning & Coordination	1-2-3-4-5-6-7-8-9-10
Communication & Information Flow	1-2-3-4-5-6-7-8-9-10
Documentation & Compliance	1-2-3-4-5-6-7-8-9-10
Scheduling & Staffing Support	1-2-3-4-5-6-7-8-9-10
Technology & Record Management	1-2-3-4-5-6-7-8-9-10

The evaluation of the administration-related core competencies at Sandals Royal Bahamian shows that administrative functions are generally strong, though several meaningful differences emerged between our group and the executive team. Both parties recognize that planning, coordination, and communication systems are high-performing due to the resort's structured daily briefings, detailed event orders, and the use of Infor HMS, EAM, and Loop for real-time updates; however, our group rated these areas slightly lower (8 vs. 9), reflecting a more cautious assessment based on the operational challenges of managing a large property with complex guest movements, group arrivals, and multi-department dependencies. In documentation and compliance, our group rated the function higher (9 vs. 8), acknowledging the strong accuracy, reporting standards, and reliance on corporate systems like Execuvue that maintain consistency across all Sandals properties.

Scheduling and staffing support received the largest gap (7 vs. 8), as we accounted for ongoing staffing pressures in Nassau, seasonal fluctuations, and the difficulty of balancing occupancy-driven schedule changes—factors executives may perceive as manageable within the internal system. We also rated technology and record management slightly lower (8 vs. 9), recognizing that while backend systems are robust, occasional data-entry inconsistencies and reliance on manual updates can affect overall efficiency.

Overall, the analysis suggests that administration is a well-developed competency, but improvements can be achieved by optimizing scheduling efficiency, reducing manual workload in record management, and strengthening cross-departmental workflow continuity during peak operational periods.

Operations (Yasmin)

Resource Allocation: **50%**

Sub-Category	Rating (1-10)
Production/Service Systems	1-2-3-4-5-6-7-8-9-10
Quality Control	1-2-3-4-5-6-7-8-9-10
Cost Control	1-2-3-4-5-6-7-8-9-10

According to the housekeeping manager of the Sandals Royal Bahamian Resort, the core competencies related to Operations help achieve a competitive advantage by “...allowing inventory for housekeeping to be plentiful and communication between departments to be very efficient”. Production systems play a big role, especially on a property as large as this one. The operating systems in place -

HMS Infor for Housekeeping and Front Desk and EAM HMS for engineering needs - “work amazing and allow for timed updates and a place to record the processes of communications”. Quality control is a strength on this property, especially in the back-of-house. They have an abundance of inventory that is “replenished on a monthly basis depending on the budget” and this allows for new linens, operating supplies, guest supplies, and more - allowing them to always be well stocked and rarely running out of things they need for operations and guests. The engineering team also plays a big part in quality control on this property as they ensure “things get fixed in a timely manner”, however “bigger issues that need parts to be shipped take longer”. Helping the property as a whole is the front office team, who help guests and take calls from guests on property - being the first point of contact for any needs. The property works with a third-party to screen calls to reduce the call volume on property, “ensuring efficiency of guest needs who are already on property, and to better assist future guests”.

Based on the housekeeping manager's evaluation of the operations-related core competencies of this resort, the Sandals Royal Bahamian Resort positions itself ahead of competitors in terms of its operating efficiency and quality control.

The evaluation of the operations-related core competencies at Sandals Royal Bahamian shows that the resort demonstrates strong and well-established operational systems, particularly in quality control, where both our group and the executives rated performance equally at 9. This alignment reflects the resort’s reliable housekeeping processes, consistent inventory replenishment, and the engineering team’s ability to maintain facilities efficiently. However, meaningful differences emerged in production and service systems, where our group assigned a lower score (8 vs. 9). This reflects our consideration of the operational complexity of managing a large resort with multiple outlets, a private island, fluctuating staffing levels, and reliance on interdepartmental coordination—factors that, while well-managed, still present operational strain that executives may view more optimistically from an internal perspective. The largest gap appeared in cost control (7 vs. 9), as our group accounted for the high cost of labor, utilities, imported supplies, and shipping delays in Nassau, which challenge the resort’s ability to manage costs efficiently despite strong internal systems. Overall, while operations remain a competitive strength, improvements can be made in enhancing process efficiency, addressing staffing-related bottlenecks, and developing more resilient cost-control strategies that account for the unique economic pressures of operating in the Bahamas.

Research & Development (Daria)

Resource Allocation: **10%**

Sub-Category	Rating (1-10)
New business opportunities	1-2-3-4-5-6-7-8-9-10
Product testing	1-2-3-4-5-6-7-8-9-10
Competitive Intelligence	1-2-3-4-5-6-7-8-9-10

Based on the evaluation of the Research and Development (R&D) at Sandals, they are ranked #5 in terms of resource allocation. During the interview, the manager explained that the R&D department focuses mainly on exploring new business opportunities that could elevate the guest experience at the resort. She said her team spends a lot of time looking for fresh ideas. She stated that guest preferences change quickly, and stated, “What guests want today is not what they wanted even a few seasons ago,” which is why Sandals is always staying a step ahead.

The manager also talked about how her team works closely with corporate to develop new service programs and upgrade technology across the resort. She emphasized that research plays a big role in what they do. She described R&D as the department that “keeps the experience fresh,” ensuring Sandals continues delivering something unique that guests can’t find at other all-inclusive resorts. Her team reviews comment cards brought to them and online reviews to spot trends or suggestions. She explained that if multiple guests point out the same issue or request the same type of experience, the R&D team potentially brings it forward. R&D works with Operations, Entertainment, Food & Beverage, and even HR to make sure new ideas fit in the daily workflow of the resort. Another part of R&D role involves product testing. At Sandals, the team tries out new ideas on a small scale before they do it across the resort. Examples mentioned were, testing a new entertainment program, adjusting a service process, or piloting updated technology in one area to see how guests respond.

The evaluation of the organization's innovation- and development-related competencies at Sandals Royal Bahamian shows that these functions play an important but moderately developed role within the resort. While both our group and the executives agree that the property actively explores new business opportunities and tests new service concepts, our group assigned slightly lower ratings (7 vs. 8), reflecting the view that innovation exists but is not highly formalized or supported by extensive data analysis. Most improvements are driven by guest feedback, comment cards, and incremental adjustments to existing offerings rather than structured market studies or large-scale development initiatives. The largest gap appeared in competitive intelligence (6 vs. 7), where our group noted that relying primarily on online reviews and general observations does not match the more advanced analytical practices used by major regional competitors such as Baha Mar and Atlantis. These findings suggest that although the resort succeeds in keeping the guest experience fresh, it would benefit from strengthening its market research capabilities, adopting more systematic testing methods, and implementing a more professional framework for monitoring competitor activities. Overall, the analysis indicates that innovation adds value to the resort but presents clear opportunities for improvement that would enhance long-term competitiveness.

Technology (Leyanes)

Resource Allocation: **7-9%**

Sub-Category	Rating (1-10)
Website effectiveness	1-2-3-4-5-6-7-8-9-10
Customer Relationship Systems	1-2-3-4-5-6-7-8-9-10
Social Networks/ Social System Technologies	1-2-3-4-5-6-7-8-9-10

The Technology Management function at Sandals Royal Bahamian ranks #6 in resource allocation, dedicating 7–9% of operational resources to technology and guest services. Despite significant recent investments in upgrades like the iStay CRS platform and improvements to the Sandals & Beaches App, the technology performance for guests remains inconsistent. The Administration

Manager highlighted ongoing improvements and strong data integrity, with guests increasingly using digital platforms for check-in and reservations.

However, the group gave Sandals' website effectiveness a score of 5 because, despite having a modern CRS and backend, many guests find the website/app outdated, buggy, difficult for bookings or modifications, and lacking essential information (like menus and maps). For social media, the group gave it a score of 4-5 due to complaints from guests about unreliable features (like the app and on-resort requests), issues with completed requests, and inconsistencies with towels and amenities.

Overall, Sandals Royal Bahamian sees itself slightly ahead of its competitors in backend technology while considering its guest-facing technology on par with others. There are still improvement opportunities, particularly in mobile app stability and real-time communication, but management is confident in the resort's direction to meet guest expectations.

Summary of Functional Framework Analysis

The Functional Framework Analysis of Sandals Royal Bahamian shows that the resort performs strongly across several core functional areas, especially in human resources, administration, and operations. These areas demonstrated consistent alignment between the ratings of our group and those of the executive team, reflecting strong internal structures, reliable service systems, and a well-established organizational culture. Human resources emerged as one of the resort's most developed competencies, supported by high standards in hiring and development, effective leadership practices, and extensive training through Sandals Corporate University. Administration and operations also showed strong performance due to effective planning, communication systems, quality control, and the use of advanced technology that supports daily coordination across a large and complex resort environment.

However, several important gaps appeared between our group's evaluations and those of the executives, particularly in finance, marketing, innovation related functions, and guest facing technology. Executives consistently provided higher ratings for financial control, marketing research, and digital performance, reflecting their confidence in internal systems and the historical strength of the brand. In contrast, our group relied on external benchmarking and environmental factors such as the high cost of operations in Nassau, increased competition from regional resorts such as Baha Mar and Atlantis, and guest complaints regarding website functionality, the mobile app, and social media responsiveness. Our group also assigned lower ratings in innovation and development related competencies because these functions rely heavily on guest feedback and small improvements rather than structured market research or systematic analysis of competitors.

These differences indicate that while Sandals excels in operational consistency, employee development, and service quality, the resort would benefit from improving cost control strategies, strengthening market research, enhancing digital communication and guest facing technology, and creating a more organized approach to identifying new opportunities and monitoring competitor activity. Overall, the analysis shows that Sandals has a strong foundation in its core functional areas, but it must modernize several strategic capabilities in order to sustain competitive advantage in the evolving Caribbean hospitality market.

Core Competencies and Competitive Methods Matrix

Core Competencies	AI Enhanced Dining	Rain or Shine Retreat
Guest Satisfaction	**What?** The AI Enhanced Dining Experience creates a personalized food and beverage journey for every guest. Before arrival, guests submit meal preferences, dietary needs, and favored dining styles. Once at the resort, QR codes placed throughout pools, beaches, restaurants, and lounges allow guests to browse menus, place orders, and track their meals in real time. This method removes waiting, increases convenience, and enhances the feeling of luxury through personalization. **When?** The system begins working the moment a guest completes the online check-in process and continues operating throughout the entirety of the stay. The QR ordering platform remains active 24	**What?** The Rain or Shine Retreat transforms a section of the resort into a tropical indoor escape on days when weather prevents access to Barefoot Cay. Guests experience themed décor, island style lighting, curated Bahamian music, tasting stations, mixology showcases, and mini spa cabanas. This retreat replaces disappointment with an exclusive alternative that feels intentional and premium. **When?** The program activates automatically whenever storms, high winds, or unsafe water conditions restrict ferry operations. Setup begins as soon as the weather alert is issued and is completed within two hours. **How?** Operations teams install pre staged décor kits. Food and

	hours a day in all designated areas of the resort. **How?** Guests scan a QR code that immediately opens a menu linked to their personalized dining profile. The order is automatically transmitted to the kitchen or bar through the POS system. Guests then follow the progress of the order through a live tracker until the food or beverage is delivered. The system uses AI to recommend pairings, premium beverages, and suggested add-ons based on the guest's preferences. **Who?** The food and beverage team, culinary management, guest services, front of house leaders, and the technology department operate, support, and maintain this system. Staff are trained to assist guests who prefer traditional ordering or who need help using the platform.	beverage create island themed culinary and cocktail stations. Red Lane Spa staff provide mini relaxation treatments. Live musicians or DJs recreate the island atmosphere. Invitations are sent directly to guests through the Sandals app and in person announcements. **Who?** The operations department, entertainment staff, Red Lane Spa team, butlers, food and beverage managers, and the administrative office are responsible for activation, setup, guest communication, and service delivery.
Technology/Ecological Implementation	**What?** The resort integrates AI dining software with the existing Infor HMS property system, POS platforms, and the Sandals guest application. QR plaques, NFC tags, and tablets are placed across restaurants, suites, pools, and beaches. Wi Fi enhancements support seamless data flow and real time updates. **When?** The competitive method begins with a pilot that lasts one year, followed by full deployment within twelve to eighteen months. The system provides a competitive technological advantage for an	**What?** A weather alert system connected to local forecasting partners notifies department heads when Barefoot Cay becomes inaccessible. The resort uses projection visuals, sound systems, and lighting effects to recreate the island aesthetic indoors. The mobile guest app delivers real time updates and event invitations. **When?** Technology activates as soon as weather conditions reach the threshold that halts Cay transportation. Digital displays, sound cues, and app notifications run throughout the duration of the retreat. **How?**

	estimated five to seven years before requiring a full digital refresh. **How?** The property will form a strategic alliance with a third-party that specializes in AI and POS software systems. The technology team will partner with a third-party to connect AI software to the POS system, the guest app, and the central reservation and profile databases. Staff undergo four weeks of structured training that covers device operation, guest troubleshooting, and menu updating. **Who?** The technology management team, POS vendors, administrative staff, food and beverage managers, and the digital services team coordinate to implement and maintain all hardware and software.	Pre-programmed lighting presets, soundtracks, and projection themes transform the designated area. Guest communications are delivered through the app, email, and front desk alerts. Staff follow a digital checklist that guides setup procedures. **Who?** The technology department, entertainment team, administrative staff, and resort communications leaders manage the technical and experiential components.
Financial Incentive	**What?** The AI Enhanced Dining Experience generates additional revenue for the resort by increasing the average guest check through personalized upselling. The reduction in order errors and the improvement in table turnover also reduce food waste and labor expenses. Forecasts show an 8-10% increase in food and beverage revenue and a 12-15% reduction in front of house labor costs. **When?** Revenue gains begin during the first year of implementation. Net financial impact rises each year as guest adoption grows. By the end of year two, the system achieves full return on investment. Over the first five years, total net gains exceed two	**What?** The Rain or Shine Retreat protects revenue that would otherwise be lost when Barefoot Cay is closed. Internal spending increases through food and beverage participation, mixology events, spa add ons, and curated cultural experiences. Projections show that the program preserves seven to ten percent of revenue that would be lost on weather impacted days and increases guest satisfaction scores, which directly influence repeat bookings. **When?** Revenue recovery begins immediately upon activation. By year two, the program generates significant positive financial impact, reaching up to five hundred thousand dollars annually in combined revenue protection and

	million dollars. **How?** AI recommendations increase add ons and premium choices. Faster ordering reduces wait times and allows restaurants to serve more guests in the same period. Food cost control improves through data analytics that show accurate consumption patterns. **Who?** Finance managers, cost controllers, purchasing, restaurant directors, and the technology team collaborate to monitor savings, revenue growth, and forecasting accuracy.	incremental spending. **How?** Guests who cannot visit the Cay shift their spending to tasting events, bar experiences, spa services, and island themed entertainment. The positive emotional experience reduces negative reviews and increases the likelihood of rebooking. **Who?** The finance department, revenue management teams, food and beverage cost controllers, spa directors, and marketing managers, collaborate to track spending patterns and overall financial impact.

Final Co-Alignment Model (Daria)

The co-alignment model illustrates how external forces in the Bahamian hospitality environment shape both guest expectations and operational decisions at Sandals Royal Bahamian. Advances in digital technology and the global shift toward personalized, contactless service have influenced guests to expect seamless, effortless experiences throughout their stay. At the same time, changing climate patterns and more frequent weather disruptions have created a growing demand for adaptable, value-protective guest experiences. These forces directly impact how the resort must operate, pushing Sandals to innovate, enhance service quality, and maintain guest satisfaction even under uncontrollable conditions. In response, the resort's competitive methods—the AI Enhanced Dining Experience and the Rain or Shine Retreat—are designed to align with these environmental pressures. The AI dining platform elevates convenience and personalization, allowing guests to order and explore dining options effortlessly across the property, while the Rain or Shine Retreat ensures that guests continue to receive a premium experience during weather-related closures of Barefoot Cay. Together, these methods strengthen Sandals' core competencies in guest satisfaction, technological, ecological, and financial performance by improving operational efficiency, increasing internal spending and delivering consistent luxury value regardless of external conditions. Through this co-alignment, Sandals Royal Bahamian remains competitive in a rapidly evolving hospitality landscape and continues to meet the expectations of both todays and tomorrow's travelers.

Co-Alignment Model: Ai Enhanced Dining

Co-Alignment Model: Rain or Shine Retreat